

KSA Petrochemical Sector

Spreads and Sentiments Improving

Comp	TP	CMP	Upside	D.Y.(%)*
Alujain	53.0	41.0	29%	4.9%
Kayan	17.0	13.4	26%	0.0%
APPC	54.0	48.0	13%	4.2%
Sipchem	47.0	38.2	23%	7.2%

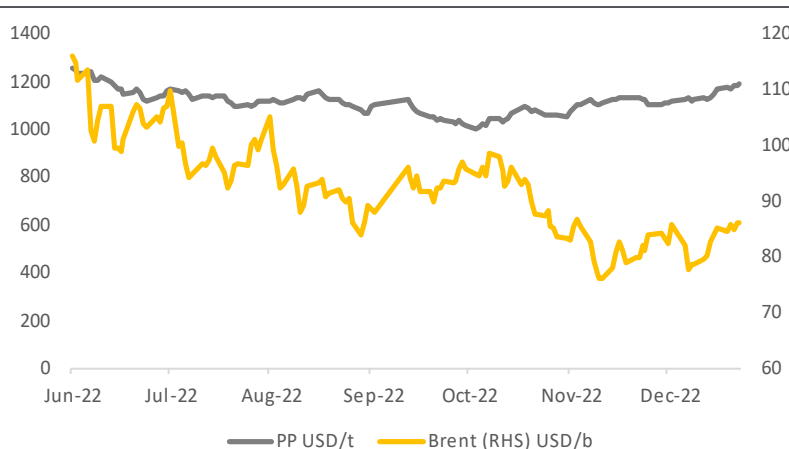
Source: GIB Capital/ *2023

- Key feedstock Propane and Butane are likely to see the third consecutive quarterly decline in Q1 '23, alleviating cost pressures.
- On the other hand, despite recessionary fears, product prices have shown resilience on China opening – 4Q '22 product prices likely being the bottom and Q1 '23 higher so far.
- With Global chemical stocks rallying in January, our focus is on companies which have value beyond just an improvement in Petchem spreads with preferred names being Kayan and Alujain. Current P/B for KSA Petchems is ~20% below 3-year averages.

Global chemicals rallying: A recovery in China's economy could provide impetus to Petchem demand after Chinese PMI remained mostly below 50 in 2022 because of zero-COVID policy forcing the country to go into shutdowns. Global Petchems (BASF/Dow/Lyondell Basell etc.) have rallied around 15% in Jan. Other possible upside drivers to watch include possible revival in European (as gas prices have declined to mid-June 2021 levels) and Asian economies (led by India/Japan), Russian-Ukrainian conflict resolution, Fed rates softening etc. Overall, we see sentiments improving in the sector.

Coverage: The companies chosen in this report have value more than just an upside in spreads. They have drivers such as expansions or are beaten-down stocks that allow entry at reasonably decent levels for a longer-term positioning even if complete recovery takes longer. For example, despite the volatility in profits, **Kayan** generates strong cashflows yielding FCF of ~15% ('22). **Alujain** has a single product portfolio, but the stock is likely misunderstood and mispriced. Despite concrete expansion plans of **Advanced Petrochemicals**, the stock is valued today based only on its current capacity. Likewise, **Sipchem** is also planning expansions and has attractive dividend yields even after factoring in the decline in spreads. Overall, while there are risks, we believe the downside in these names is lower. We **favour Kayan and Alujain** among the four.

Figure 1: Petchem spreads trend shown by Brent (cost) and Polypropylene



Source: Bloomberg

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Key assumptions

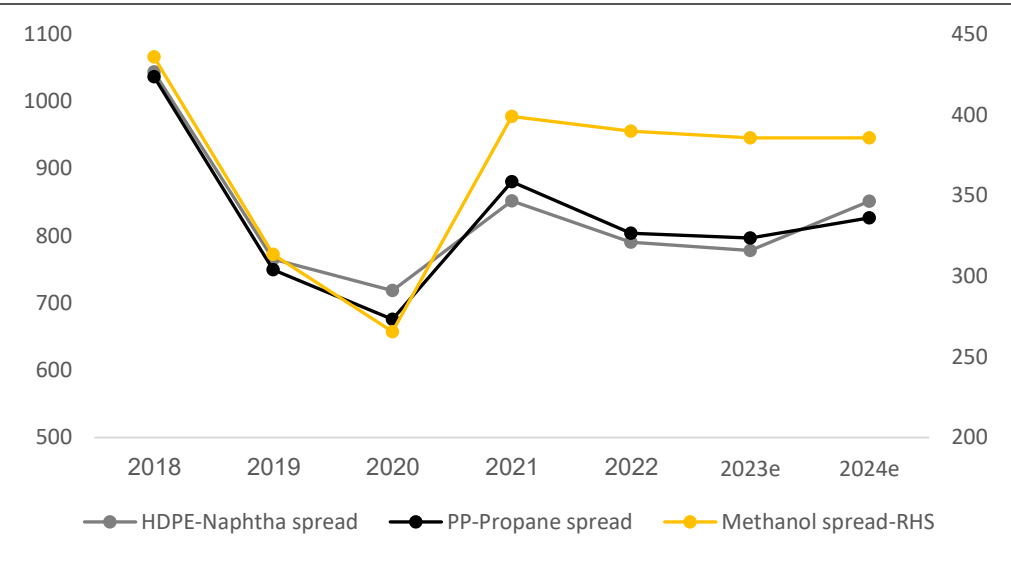
Figure 2: Key forecasts**

	Spot	2018	2019	2020	2021	2022	2023e	2024e
Oil/Energy								
Brent (US\$/b)	87	72	64	43	71	90	82	82
WTI (US\$/b)	80	65	57	39	68	86	77	77
Henry Hub (US\$/mmbtu)	2.8	3.2	2.6	2.0	3.9	6.4	4.3	5.2
Feedstock prices								
Naphtha (US\$/mt)	726	616	525	382	649	789	663	644
Propane (US\$/mt)	590	554	435	396	619	749	629	613
Butane (US\$/mt)	605	536	438	403	605	743	634	613
Saudi Ethane (US\$/mmbtu)	1.75	1.75	1.75	1.75	1.75	1.75	1.75	1.75
Saudi Methane (US\$/mmbtu)	1.25	1.25	1.25	1.25	1.25	1.25	1.25	1.25
Product Prices								
HDPE (US\$/mt)	1030	1290	975	871	1111	1106	1043	1109
LDPE (US\$/mt)	1130	1181	997	1006	1523	1438	1307	1480
LLDPE (US\$/mt)	990	1128	925	837	1123	1101	1029	1060
PP (US\$/mt)	1040	1258	1082	956	1296	1175	1085	1150
PC (US\$/mt)	2565	3293	2707	2212	3842	2951	2978	3396
MEG (US\$/mt)	595	1100	689	557	813	682	681	768
Urea (US\$/mt)	366	265	248	232	493	606	455	500
Methanol (US\$/mt)	403	446	323	276	409	400	396	396
PS (US\$/mt)	1300	1539	1225	1101	1573	1603	1427	1588
Benzene (US\$/mt)	985	820	640	485	912	1036	939	939
Acetic Acid (US\$/mt)	465	500	446	366	955	635	550	601
VAM (US\$/mt)	1090	1258	943	769	1812	1856	1239	1328
Key Adj. Spreads**								
HDPE - Naphtha (US\$/mt)	740	1044	765	718	852	790	778	851
LDPE- Naphtha (US\$/mt)	840	934	823	848	1275	1139	1055	1235
PP - propane (US\$/mt)	804	1037	749	676	880	804	776	815
Methanol-methane(US\$/mt)	393	436	313	266	399	390	386	386

Source: GIB Capital **Calculation based on assumed conversion yields. These are benchmark prices and the exact selling prices may differ based on the region of sale

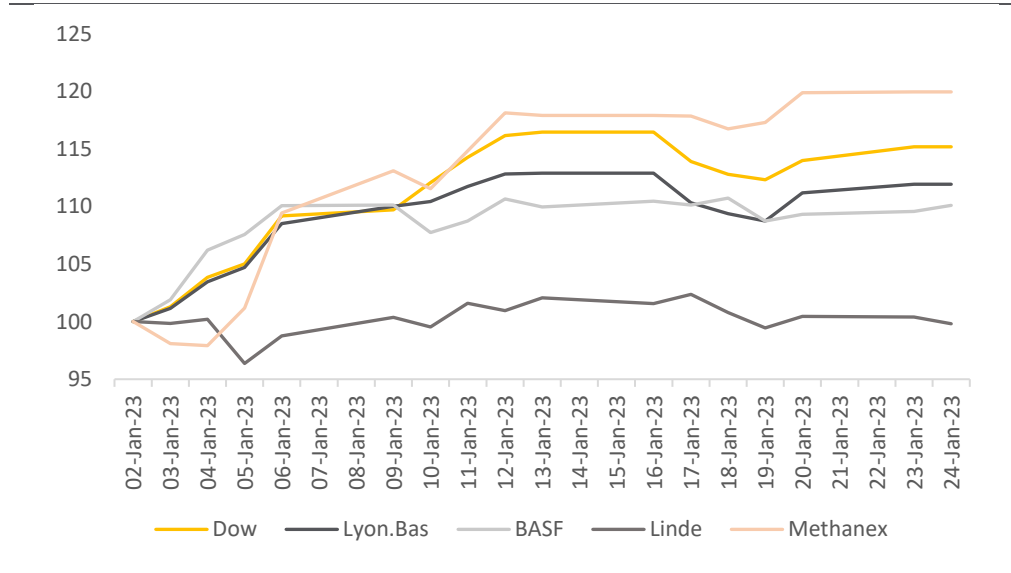
Assumptions: Our forecasts for Naphtha, Propane, and Butane are based on Brent prices which we have assumed US\$80/b for the longer term based on Bloomberg consensus estimates. As for product prices we have used mean reversion and thus used approximately 2 or 5-year average prices for products depending on the product. While we don't aim to pinpoint the timing of the recovery, given the cyclical nature and level of unsustainable margins for marginal cost producers, it would be hard to argue that prices would not recover by atleast 2024 which is our base case. The high upside for some stocks and possibility of further details of expansions also justifies a delay in recovery to even 2025. For example, a 30% upside over 2 years instead of 1 year still yields a good 20% (post dividends). The below figure shows to represent our thoughts on the spreads pictorially.

Figure 3: Representation of our benchmark spreads



Source: Bloomberg

Figure 4: Global chemical companies started to rally in Jan 2023



Source: Bloomberg

Valuations

Based on Bloomberg data, current P/B multiples for KSA Petchems is 20% below 3-year averages.

Figure 5: Valuation summary - P/B

Company	P/B avg	Current P/B	Discount
Alujain Corp	1.6	0.8	-52%
Advanced Petro	4.0	3.8	-5%
Basic Chemical	1.7	1.6	-4%
Chemanol	2.0	1.5	-27%
Kayan	1.4	1.2	-13%
Nama	2.5	2.1	-18%
NIC	1.3	0.9	-30%
Rabigh	2.1	1.1	-47%
SABIC	1.8	1.6	-12%
SAFCO	4.5	3.3	-27%
SIPCHEM	1.6	1.7	7%
Yansab	2.2	1.8	-22%

Source: Bloomberg, GIB Capital

Figure 6: Valuation summary

Company	Mkt cap (SARmn)	3Y Avg EV/ EBITDA	3Y Avg P/E	EV/ '24 EBITDA	P/'24 E
APPC	12,467	17.9	21.4	16.5	16.4
Sipchem	28,013	5.0	22.7	7.5	9.3
Kayan	20,160	10.5	32.0	8.5	20.4
Alujain	2,837	9.3	8.4	8.1	11.1

Source: Company, GIBC, Bbg

Figure 7: Performance summary

Comp.	4Y Avg RoIC	4Y Avg NP%	Net income				DPS				Div Yield			
			2021	2022	2023	2024	2021	2022	2023	2024	2021	2022	2023	2024
APPC	18.2%	27.1%	815	309	401	633	2.60	2.60	2.00	2.50	5.4%	5.4%	4.2%	5.2%
Sipchem	7.2%	14.1%	3,592	3,464	2,863	2,996	2.25	3.25	2.75	3.00	5.9%	8.5%	7.2%	7.9%
Kayan	4.0%	4.1%	2,394	(716)	(132)	992	-	-	-	-	-	-	-	-
Alujain	-0.6%	NM	270	173	158	255	1.00	1.50	2.00	2.50	2.4%	3.7%	4.9%	6.1%

Source: Company, GIB Capital

Sector wide risks to consider

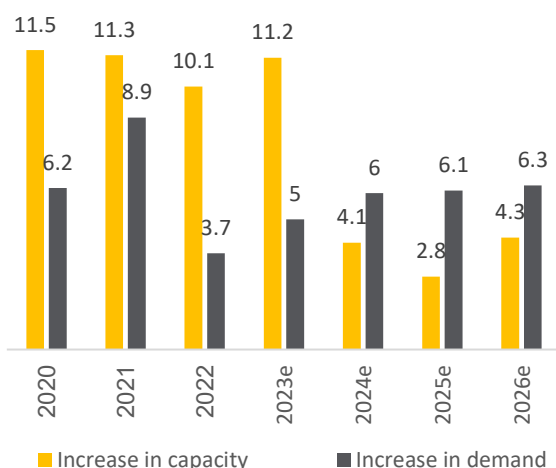
- A common risk across the Saudi petchem firms is the possibility of an increase in feedstock pricing in KSA. While it depends on the extent of hike, it could take another 3 years in our view. With a decline in gas prices globally the difference between global and Saudi gas prices has narrowed weakening the case for an increase.
- Chinese expansion adding Olefins capacity is another threat to the margins. However, as explained by management of various companies, there have been continuous delays in the past which may continue.
- Spike in logistics costs as witness in the past may reduce the profit margins of the producers.

- Increase in any surcharges on PE and PP sales in Europe if not passed on could weaken margins for the companies.

Expansions: On the other hand, Aramco is planning to increase gas production significantly and there might be a possibility of increased feedstock allocation for other companies esp. cash-rich ones which can expand once sector fundamentals. Many companies have already announced expansion plans and the ones with better cash positions may be the ones more probable to see expansion. We believe it is better to focus on smaller companies that could see higher potential benefits given the base effect.

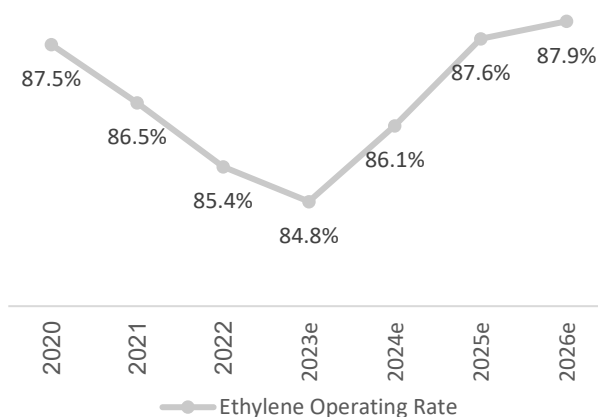
Below shows the global supply and demand estimates. The key take away is that in general, operating rates are expected to decline in 2023 but improve in 2024.

Figure 8: World - Ethylene capacity expansion vs demand growth
(2021 Cap: 205.6 MMT)



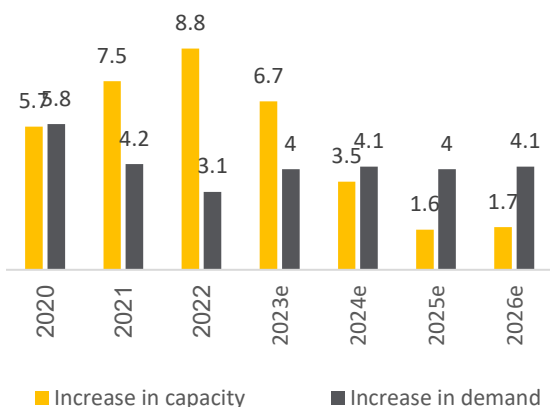
Source: GIB Capital, IHS

Figure 9: World – Ethylene operating rates



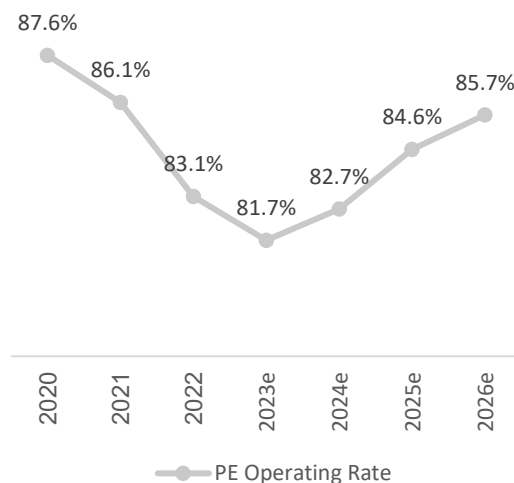
Source: GIB Capital, IHS

Figure 10: World - PE capacity expansion vs demand growth
(2021 Cap: 133 MMT)



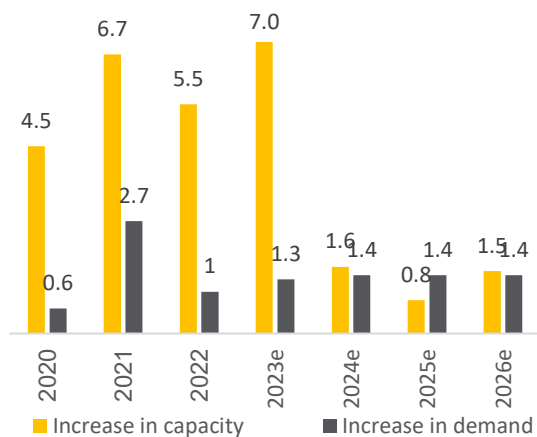
Source: GIB Capital, IHS

Figure 11: PE operating rates



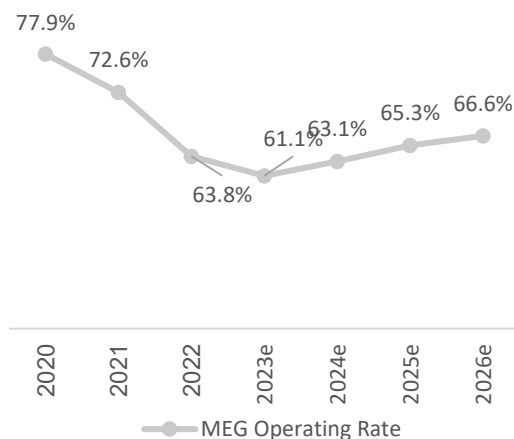
Source: GIB Capital, IHS

Figure 12: World - MEG capacity expansion vs demand growth
(2021 Cap: 48 MMT)



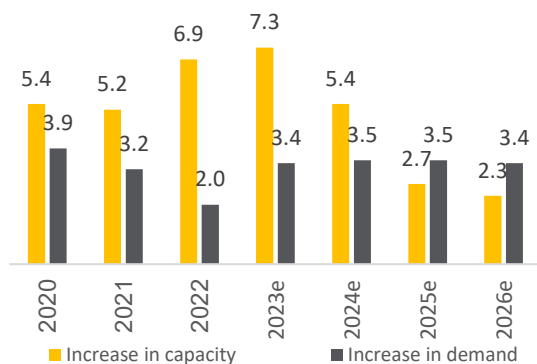
Source: GIB Capital, IHS

Figure 13: MEG operating rates



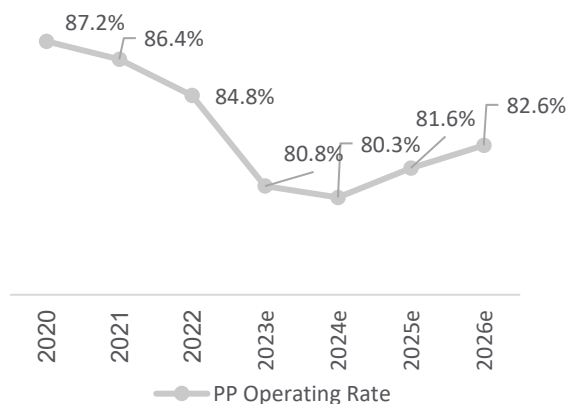
Source: GIB Capital, IHS

Figure 14: World - PP capacity expansion vs demand growth
(2021 Cap: 96 MMT)



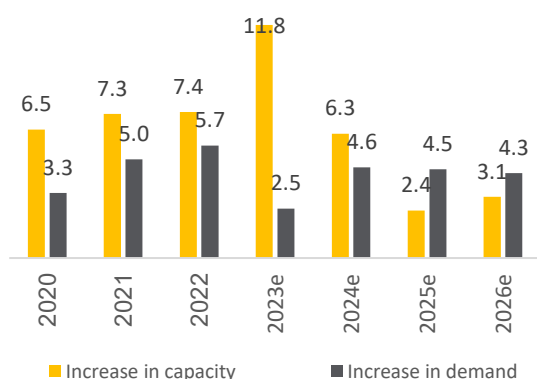
Source: GIB Capital, IHS

Figure 15: PP Operating rates



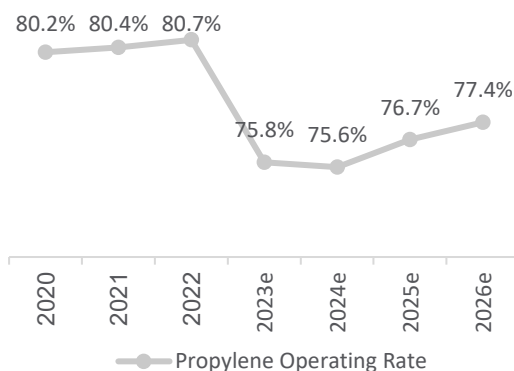
Source: GIB Capital, IHS

Figure 16: World - Propylene capacity expansion vs demand growth
(2021 Cap: 151 MMT)



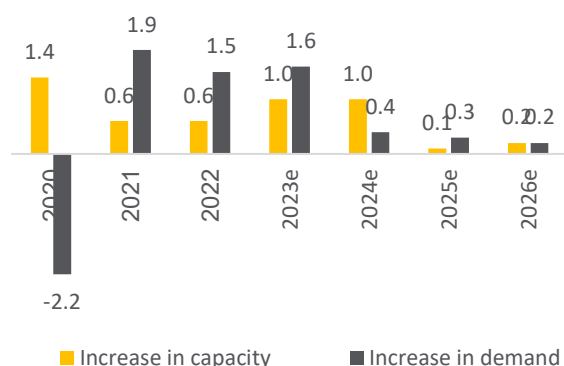
Source: GIB Capital, IHS

Figure 17: Propylene Operating rates



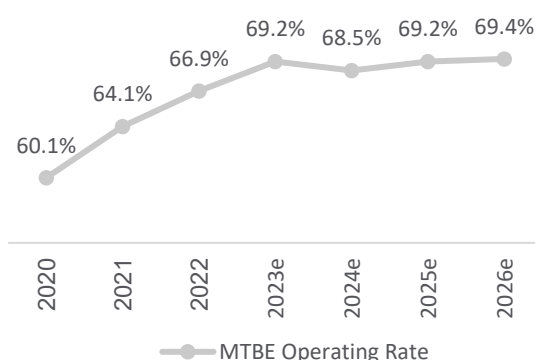
Source: GIB Capital, IHS

Figure 18: World – MTBE capacity expansion vs demand growth
(2021 Cap: 38.7 MMT)



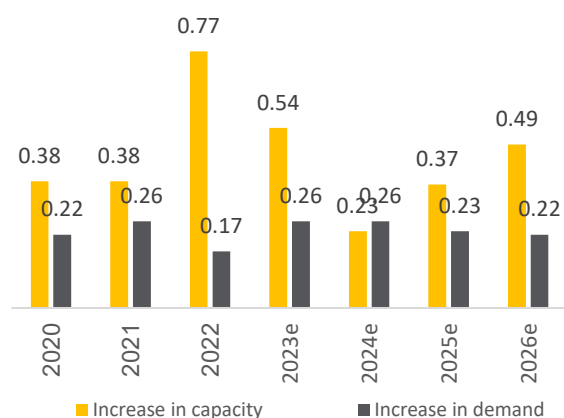
Source: GIB Capital, IHS

Figure 19: MTBE Operating rates



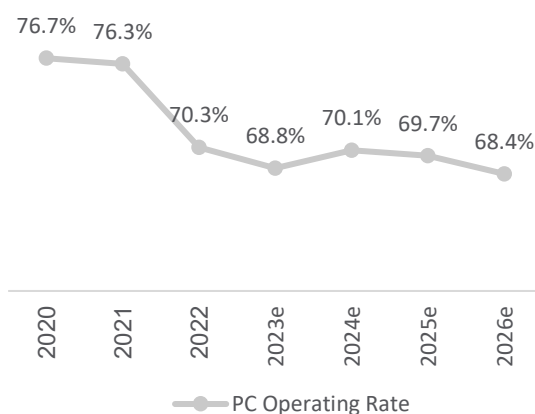
Source: GIB Capital, IHS

Figure 20: World - PC capacity expansion vs demand growth
(2021 Cap: 6.3 MMT)



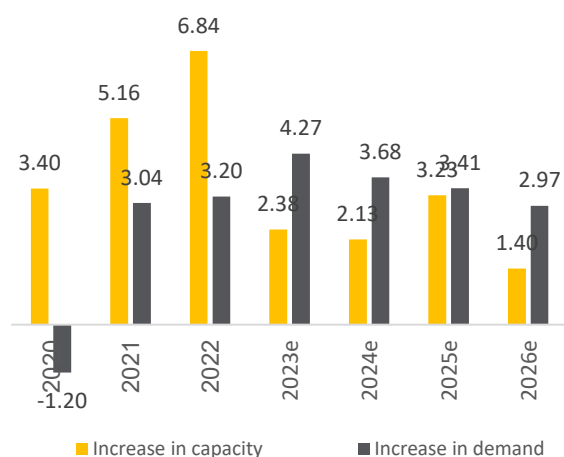
Source: GIB Capital, IHS

Figure 21: PC Operating rates



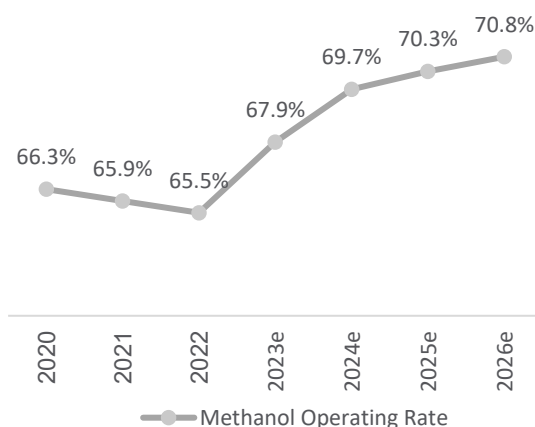
Source: GIB Capital, IHS

Figure 22: World - Methanol capacity expansion vs demand growth
(2021 Cap: 134.1 MMT)



Source: GIB Capital, IHS

Figure 23: Methanol operating rates



Source: GIB Capital, IHS

Alujain Corp. (ALCO AB Equity)

Target Price: SAR53/share
Current Price: SAR41/share
Upside: 29% (+Div. Yield: 4.9%)
Rating: Overweight

Stock data

TASI Ticker	2170
Mkt cap (SARmn)	2,837
Trd. Val 3m (SARmn)	18.1
Free float	85.2%
QFI holding	3.74
TASI FF weight	0.15%

Source: Bloomberg

Prices indexed to 100



Source: Bloomberg

Key investment themes

- **Beaten down:** Despite being a straightforward single-product company (producing Polypropylene from Propane), the company is less widely tracked and likely suffers from information bias in our view. This may also have contributed to the higher-than-average decline in stock prices recently. For example, Alujain declined ~20% vs APPC's ~37% in the last 1 year despite both having similar portfolio mix.
- **Expansion plans:** The company has received feedstock allocation approval from Ministry of Energy to build plants in Yanbu industrial city. The plan involves a propane gas processing plant to produce Polypropylene (600k tonnes) with a total cost of SAR7.5bn from 1H 2026.
- **Cheap valuations:** In a cyclical sector, P/B may be a better relative valuation multiple indicator than P/E especially considering the volatility in earnings. The company currently trades at a P/B of 0.8x vs 3-year average of 1.6x (Bloomberg).
- **Prior Shareholder issues mostly resolved:** After certain shareholder-related issues in the past, the company is progressing well as per expectations. The main cash cow NATPET is consolidated, and the company has also delivered an increase in dividends.
- **NATPET stake increase.** Most recently the company raised stake from 57.4% in 2021 to currently 76.4% - the most recent acquisition at a price of SAR48/share. This implies the management expects there is significant value in the stock with today's price at around SAR41/share. The price had also reached SAR80/share at its peak in 2022. We expect the stake in NATPET to increase further which would increase dividends too.

Risk factors to consider

- **Holding company costs:** Though the company plans to increase its stake in NATPET, currently the holding company management costs are additional costs as compared to a direct ownership in NATPET.
- **Dividends:** Despite net income of SAR200mn in the last 12 months, the company paid only SAR104mn as dividends (~50% payout) to the shareholders. If the payout ratio does not increase, market may not push the valuation higher despite value in the stock.
- **Clarity on treasury shares:** There requires to be additional clarity on the treatment of the treasury shares. Lack of sufficient information may weigh on the stock.
- **Shutdowns:** Given that its closest competitor in terms of product mix is APPC, usually shutdowns are compared with that of APPC. Thus, there might be valuation discount applied on Alujain if number of shutdowns are frequent (APPC sets the benchmark with one shutdown every three years).
- **Expansions:** Expansions come with its own risks. Such a huge expansion planned could dent profitability in its early years especially when interest rates are high.

Valuation

We value the company based on an equal blend of EV/EBITDA and DCF valuation. We use an EV/EBITDA of 10x (3Y avg is 10.5x) to arrive at a multiple based 12 month forward valuation of SAR57.4/share. For DCF we use a WACC of 9.5% and cost of equity of 10.5% and arrive at a 12-month forward DCF valuation of SAR49.3/share. Our target price of SAR53/share (rounded) has an implied dividend yield of 4.9% (2023) and 6.1% (2024). Given the 29% upside, we initiate coverage with an Overweight rating.

Figure 24: DCF valuation model

SARmn	2022e	2023e	2024e	2025e	2026e	2027e	2028e	2029e	2030e
Pre-tax operating profit	235	263	398	386	386	386	386	386	386
Taxes	-19	-18	-28	-28	-28	-29	-29	-30	-30
Post-tax operating profit	216	246	369	358	357	357	357	356	356
Add: Depreciation & amortization	204	200	200	200	200	200	200	200	200
Change in working capital	-22	-25	-37	-36	-36	-36	-36	-36	-36
Less: Capex	-96	-84	-90	-88	-88	-88	-88	-88	-88
FCF	302	336	442	433	433	433	432	432	431
Terminal Value									5,839
Enterprise value of explicit period	2,267								
PV of Terminal Value	2,818								
EV	5,085								
Net debt	-799								
Minorities	-1,200								
Appraised value of the equity	3,086								
Number of shares ('000)	69								
Equity value per share	45								
Adjusted DCF-based equity value per share	49.3								
Cost of Equity	10.5%								
Cost of Debt	5.6%								
Long term Weight of Debt	20.0%								
Long term Weight of Equity	80.0%								
WACC	9.5%								

EV/EBITDA multiple	10x
2024E EBITDA	597.3
Multiple based TP	57.4

Source: GIB Capital

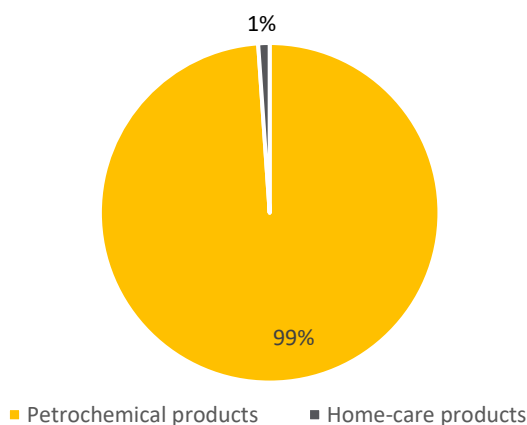
Company profile

Alujain was established in 1991. The company's activities encompass managing its subsidiaries or participating in the management and providing support to companies in which it owns shares. The company carries out its activities as a holding company.

The company and its subsidiaries are involved in the production and sale of polypropylene (the input being propane), and its derivatives, establishment, operation, and investment in industrial projects, including projects related to the petrochemical and chemical industries, basic and transformational industries, plastic industries (plastics), industries related to renewable energy and other vital industries inside and outside the Kingdom of Saudi Arabia.

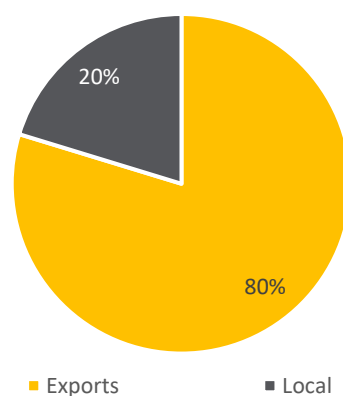
Most of the group's net revenue is derived from manufacturing Polypropylene.

Figure 25: Operating segments revenue mix (3Q22)



Source: Company

Figure 26: Geographical mix of revenue (3Q22)



Source: Company

NATPET: Alujain owns majority equity (76.4%) in NATPET which operates approximately 400,000 tons per year of Propylene & Polypropylene Complex (PP Complex) in Yanbu Industrial City, using Oleflex and Spheripol technologies.

NATPET also owns four companies: Menna Company, Fawasel Advanced Chemicals Company, Al-Taj Towers for Plastic Industries Company, and Afaq Professional Chemicals Company.

On 11 November 2021, the Group obtained control over NATPET thus becoming a subsidiary.

NATPET is the cash cow for the firm and Alujain has been steadily increasing its ownership in NATPET and now owns 76.4% of the company. The company plans to further increase its stake in NATPET. This is positive to avoid minority leakage in the company.

ZAIN: Alujain also owns 98.8% in Zain which operates its plant in Jubail Industrial City. Zain's main business includes the production and marketing of homecare products (spray starch, air-fresheners, fabric softener, oven cleaner, furniture polish, anti-static spray, bleach, stainless steel polish, etc.), insecticides and agricultural pesticides, fungicides, herbicides, etc. of all kinds and forms, besides general health products. It does not contribute materially to the group (see above Figure).

Expansion Plans

The company is planning to establish a new petrochemical project in Yanbu Industrial City. The new project comprises a propane gas processing plant to manufacture propylene, a plant to produce polypropylene, and a complex to produce polypropylene compounds and PP specialty materials. It will also include a grid connecting the propylene and polypropylene production units of NATPET to the two production units in the Yanbu project for scale and efficiency.

The project is expected to produce more than 600,000 tons/year of polypropylene, polypropylene compounds, specialized construction materials from polypropylene derivatives, and about 25,000 tons/year of salable hydrogen. Thus it will more than double existing capacity.

The new project is expected to cost SAR7.5bn and come on stream by 1H26.

More details:

Alujain, like Advanced Petrochemicals, manufactures Polypropylene from Propane with a similar capacity but uses a different technology to manufacture Polypropylene. Its plant operating rates are healthy but lower than Advanced Petrochemicals. We believe it is still early days for the company to assess its operating rates given that it is a new plant.

Polypropylene is a downstream petrochemical product derived from the olefin monomer propylene. The polymer is produced through a process of monomer connection called addition polymerization. The company's products are the basic building blocks used to produce daily used goods, like personal care products, fresh food packaging, durable textiles, medical applications, automotive components, lightweight plastics, construction materials, etc.

The key product prices/spread to track are Polypropylene and Propane.

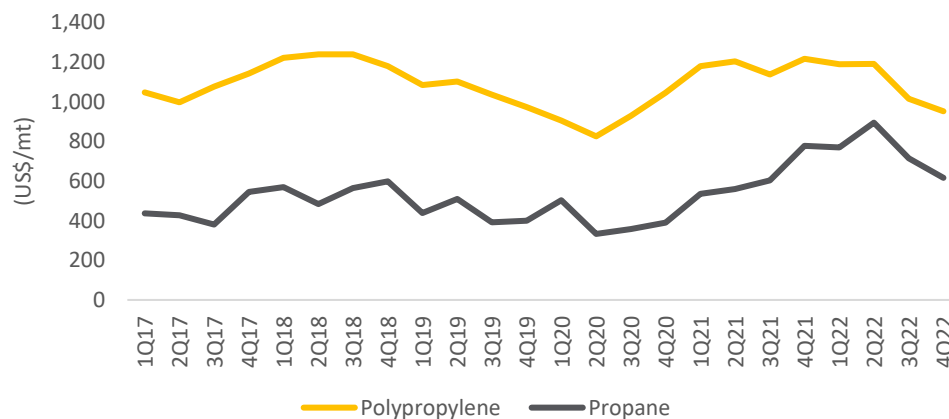
Polypropylene's supply and demand situation has been weak in the global market. The pricing has been impacted due to the slowdown in global economic growth. Global tension due to the ongoing Russia-Ukraine conflict, China's stringent COVID policy, and supply chain disruptions have put prices and demand under pressure. The long-term outlook for the industry remains favorable though.

In the past, the company was facing some issues as some shareholders tried to control the company which resulted in the company reporting higher than usual expenses (due to various transactions likely not at arm's length). After a long legal battle, the company shareholders have been successful in resolving the issues by filing a suit against the members of the member of former Board of Directors.

Interestingly, NATPET's subsidiaries had invested in the shares of Alujain whose fair value amounted to SAR973mn (19.86mn). As per the 3Q22 financial report, the shares of Alujain (19.86mn) owned by the subsidiaries of NATPET are classified as Treasury shares. The report also mentions that the acquisition of these shares will be finalized in coordination with stakeholders and regulatory authorities.

Also, previously in Oct 2018, a fire occurred at NATPET's plant in Yanbu and the plant became dysfunctional. However, the company received a final compensation of SAR1.23bn from its insurance claims. With it, the company was able to complete the construction of a new plant.

Figure 27: Polypropylene and Propane price

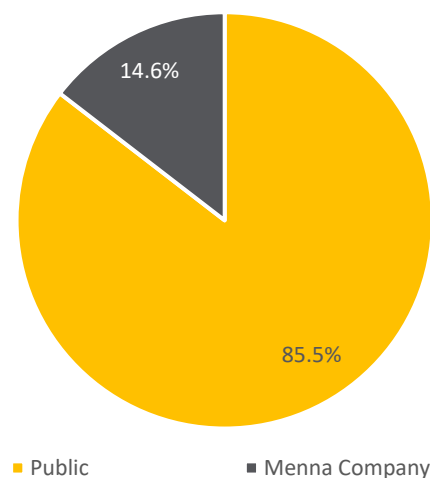


Source: GIB Capital

Ownership

The major shareholder of Alujain is Menna Company which owns 14.6%. QFI holding currently is 3.7%.

Figure 28: Current ownership



Source: Bloomberg

Summary of Financials

Figure 29: Summarized basic financial statements (SAR mn)

Income statement	2020a	2021a	2022e	2023e	2024e
Revenue	14	519	1,923	1,689	1,804
revenue y/y	-39%	NM	NM	-12%	7%
COGS	13	400	1,491	1,257	1,226
Gross Profit	1	119	432	432	578
Gross Profit margin	9%	23%	22%	26%	32%
Operating expenses	28	64	197	169	180
Operating profit	(26)	55	235	263	398
Operating margin	-183%	11%	12%	16%	22%
Finance costs	1	8	38	47	40
Net income	207	270	173	158	255
Net margin	1442%	52%	9%	9%	14%
y/y	8%	30%	-36%	-8%	61%
EPS	3.0	3.9	2.5	2.3	3.7
DPS	0.0	1.0	1.5	2.0	2.5
Payout	0%	26%	60%	87%	68%
EBITDA	(23)	84	432	463	597
Net debt	(5)	768	612	626	410

Balance Sheet	2020a	2021a	2022e	2023e	2024e
Inventories	4	321	245	230	213
Trade Receivables	3	616	734	839	792
Prepayments and Other Current Assets	42	-9	0	0	0
Cash and Equivalents	5	411	361	138	242
Total Current Assets	54	1,519	1,341	1,207	1,248
Intangible Assets	1	15	14	14	14
Property, Plant & Equipment	24	2,053	2,018	1,936	1,863
Total Non-Current Assets	1,651	3,683	3,653	3,572	3,499
Total Assets	1,705	5,202	4,994	4,779	4,747
Current Liabilities	10	687	632	509	497
Non-current Liabilities	4	1,077	872	760	657
Equity	1,691	3,439	3,490	3,510	3,592
Total Equity and Liabilities	1,705	5,202	4,994	4,779	4,747
BVPS	24.4	49.7	50.4	50.7	51.9

Cashflow	2020a	2021a	2022e	2023e	2024e
Cashflow from Operations	-64	81	518	243	515
Cashflow from Investing	61	-775	-212	-118	-126
Cashflow from Financing	-5	847	-356	-347	-285
Total Cashflows	-7	153	-50	-223	104

Source: Company, GIB Capital

Figure 30: Key ratios

Key ratios	2020a	2021a	2022e	2023e	2024e
Profitability ratios					
RoA	12%	5%	3%	3%	5%
RoE	12%	8%	5%	5%	7%
RoIC	-1%	1%	5%	6%	8%
Sales/Assets	1%	10%	39%	35%	38%
Net margin	1442.4%	52.1%	9.0%	9.4%	14.1%
Liquidity ratios					
Current Assets/ Current Liabilities	5.5	2.2	2.1	2.4	2.5
Debt to Total Equity	0%	34%	28%	22%	18%
Receivable Days	64	433	139	181	160
Inventory Days	98	292	60	67	63
Payable days	269	438	103	115	117
Debt ratios					
Net Debt/EBITDA	0.2	9.2	1.4	1.4	0.7
Debt/Assets	0%	23%	19%	16%	14%
Valuation ratios					
P/E	13.7	10.5	16.4	17.9	11.1
P/B	1.7	0.8	0.8	0.8	0.8
EV/EBITDA	-214.8	58.1	11.3	10.5	8.1
FCF yield	9.1%	12.9%	8.7%	0.7%	9.7%
Div. Yield	0.0%	2.4%	3.7%	4.9%	6.1%

Source: Company, GIB Capital

Saudi Kayan Petrochemical Co.

(Kayan AB Equity)

Target Price: SAR17/share
Current Price: SAR13/share
Upside: 26%
Rating: Overweight

Key investment themes

Stock data

TASI Ticker	2350
Mkt cap (SARmn)	20,160
Trd. Val 3m (SARmn)	25.3
Free float	65.0%
QFI holding	11.24
TASI FF weight	0.69%

Source: Bloomberg

Prices indexed to 100



Source: Bloomberg

- **Solid cash flows – leading to continuous significant debt reduction:** The company has reported an average annual operating cash flow of SAR3bn in the last 5 years and has been a great deleveraging story. With it, the company repaid debts of SAR 13 billion during the same period (average 2.6bn annually). This compares to only a current market cap of SAR20bn. Thereby once debt reaches manageable levels, this could all be paid out as dividends. Without factoring for time value, this translates to a comfortable 13% yield which gives a margin of safety for a longer-term value proposition.
- **Focus on cashflows and not net profit:** The company has higher-than-usual depreciation for a company of its size. In the last 4 years the average depreciation is SAR2.3bn as compared to maintenance capex of SAR300mn. Thus, net profit is very volatile and makes the P/E look high. One needs to look at the cash flows than income statement profits for the company.
- **Increased allocation of Ethane:** Saudi Kayan expects an increased allocation of ethane that will reduce dependence on Butane which the company has remained sensitive to. This would enhance the company's ability to address market volatility and report better profitability.
- **Diversified Product mix:** Unlike Kayan and Alujain, the company has a diversified product mix.

Risk factors to consider

- **Uneven nature of profits and sensitivity to Butane:** Given the high contribution of Butane and high fixed costs, the company is very sensitive to Butane prices. The high operating leverage has resulted in the company seeing high volatility in its bottom line in the past. While investors need to focus on cashflows instead of net profits, this tends to weaken sentiments on the stock.
- **Disclosures:** The company reported record quarterly losses in Q3 2022 but has not given detailed disclosures on the reasons for the same. Such information gaps weigh on sentiments.
- **No dividends:** We do not expect dividends as the company is focusing on growth and likely expansions. Also, it may take 2-3 years for dividends to be paid if there are no expansions.
- **Ethane allocation:** Ethane allocation could take a long time. While there is concrete news on the allocation of additional ethane, this could also be a substitution project whereby a part of butane (12%) will be replaced by ethane so that the plants are already capable to use ethane and butane interchangeably. Thus, this may not have additional output capacity but will improve margins as the company moves from high-cost Butane to low-cost Ethane. It will take at least 2 years for the company to receive this allocation and might incur some capex as well.

Valuation

We value the company based on an equal blend of EV/EBITDA and DCF valuation. We use an EV/EBITDA of 10x (3 year average EV/EBITDA has been 10.5x) to arrive at a multiple based 12 month forward valuation of SAR17.3/share. For DCF we use a WACC of 10.6% and cost of equity of 12% and arrive at a 12 month forward DCF value of SAR16.2/share. We use an equal blend of to arrive at a 12-month target price of SAR17/share (rounded). Given the 26% upside, we initiate coverage with an Overweight rating.

Figure 31: DCF valuation model

SARmn	2022e	2023e	2024e	2025e	2026e	2027e	2028e	2029e	2030e
Pre-tax operating profit	-252	389	1,478	1,600	1,977	2,113	2,235	2,344	2,441
Tax	-86	-60	-110	-131	-173	-187	-199	-210	-220
Post-tax operating profit	-339	329	1,368	1,469	1,803	1,926	2,036	2,134	2,222
Add: Depreciation & amortisation	2,427	2,326	2,124	1,922	1,763	1,619	1,491	1,375	1,271
Change in working capital	1,050	-588	-234	67	0	0	0	0	0
Less: Capex	-245	-312	-290	-295	-295	-295	-295	-295	-295
FCF	2,894	1,755	2,968	3,162	3,271	3,250	3,232	3,214	3,197
Terminal Value									37,924
Enterprise value of explicit period	15,282								
PV of Terminal Value	16,938								
EV	32,220								
Net debt	-9,811								
Non-operating liabilities	-670								
Total Market Value	21,739								
No of shares	1,500								
Equity value per share	14								
Adjusted DCF-based equity value per share	16.2								
Cost of Equity	12.0%								
Cost of Debt	5.0%								
Long term Weight of Debt	20.0%								
Long term Weight of Equity	80.0%								
WACC	10.6%								

Target EV/EBITDA	10x
2024E EBITDA	3,602
EV/EBITDA based price	17.3

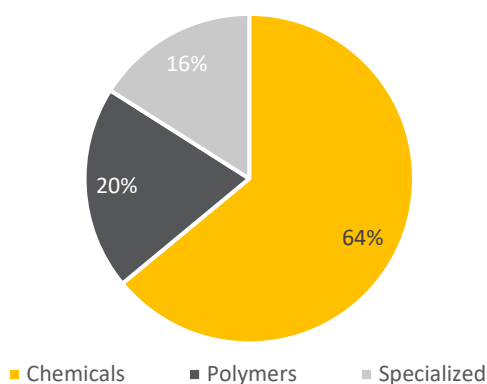
Source: GIB Capital

Company profile

The company was established in 2007 but started commercial operations only in 2011. The group is involved in producing, selling, and distributing chemicals in Asia, the Middle East, Africa, Europe, and other geographies. Kayan is headquartered in Jubail Industrial City. The group has a ~90%+ Saudization rate and operates around 16 production units. The group was listed on Tadawul in 2007.

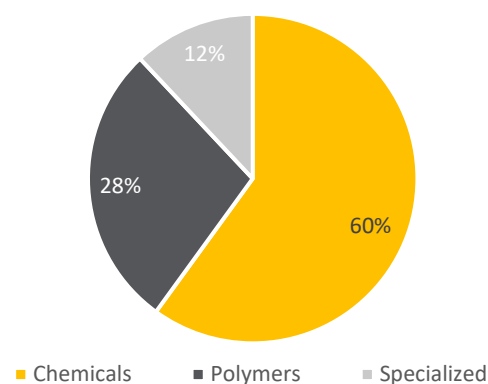
The petrochemical manufacturer produces more than 20 products broadly classified into three categories – Chemicals, Polymers, and Specialized Chemicals. The group's products are used as end-products with a wide variety of applications in multiple industries

Figure 32: Production capacity - 2021



Source: Company Data

Figure 33: Actual Production - 2021

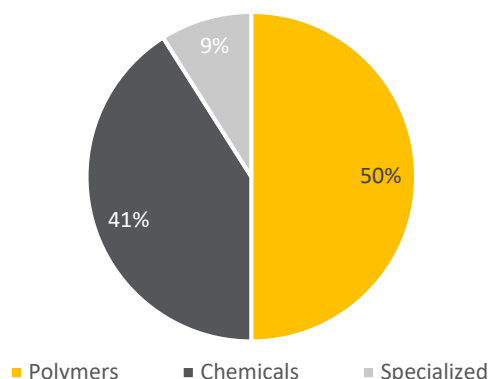


Source: Company Data

Chemicals account for 64% of the production capacity, followed by Polymers and Specialized, accounting for 20% and 16%, respectively. In proportion to the production capacity, the production of Chemicals accounted for the largest chunk of production quantity at 60%, followed by Polymers and Specialized at 28% and 12%, respectively.

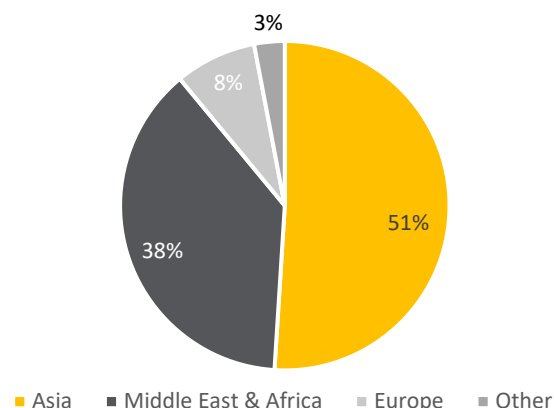
Asia, and Middle East, and Africa accounted for nearly 90% of the group's revenues in 2021, with Asia alone accounting for more than 50% of the group's revenues. The rest of the group's revenues came from Europe and North America. On the product front Chemicals which account for more than 60% of the group's total production and capacity as well, form only 41% of the group's revenues. Polymers account for 50% of the group's revenues.

Figure 34: Revenue by Product - 2021



Source: Company Data

Figure 35: Revenue by Region - 2021



Source: Company Data

Strategy

- **Feedstock restructuring:** The Group plans to increase ethane feedstock usage to bring down its dependency on butane. Kayan has already received approval from the Ministry of Energy to allocate ethane feedstock up to 30mn standard cubic feet per day.
- **Efficiency and reliability improvement:** The Company is looking to improve the efficiency of its existing plants to increase productivity.
- **Portfolio differentiation:** With more than 20 products in its portfolio, the group is looking to differentiate its products further.
- **Cost leadership:** With improving efficiency, the group is looking to bring down prices to become a cost leader in the industry.
- **Synergy expansion:** The Group is already benefitting from the synergy created by using its major shareholder SABIC's distribution channel and can look forward to further enhancing synergies with stakeholders.

Products Description

The majority of group's products are end products used in various industries ranging from automobiles to pharmaceuticals. Though only a handful of products shown below are used as feedstock, they account for more than 50% of the group's production capacity. While the number of products produced under the polymers category is the lowest, it accounts for the largest portion of group's revenue.

Figure 36: Major products capacity and uses

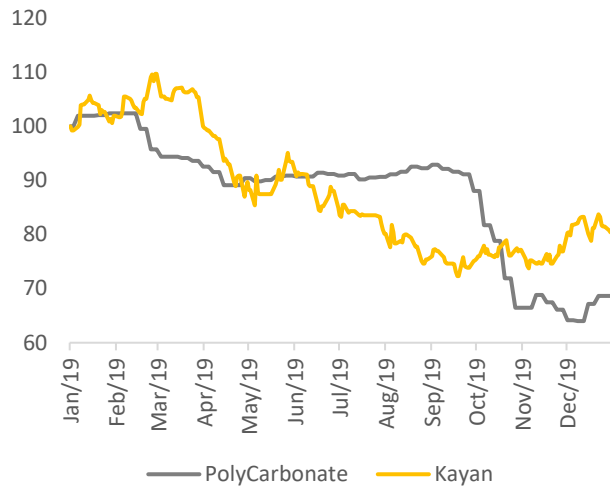
Product	Annual Production ('000 metric tons)	Uses/Applications
Chemicals		
Ethylene	1,478	Feedstock for the Polyethylene and Ethylene Glycol.
Propylene	630	Feedstock for the Polypropylene and Cumene.
Monoethylene Glycol	566	Polyester fibre for the textile industry, packaging, Antifreeze, coolants and Chemical intermediates.
Ethylene Oxide	550	Feedstock to Ethylene Glycols, Polycarbonate and Ethanolamines.
N-Butanol	110	Solvents, Plasticizers, Coating.
Benzene	109	Feed stock for Cumene plant.
Diethylene glycol	41	Manufacture of unsaturated polyester resins, polyurethanes, plasticizers, printing ink, paint
Iso-Butanol	4	Direct solvent, Chemical intermediate, and Additive – in gasoline and deicing fluids.
Triethylene glycol	2	Dehydration for industrial gases, industrial solvents, and plasticizers.
Polymers		
High Density Polyethylene	400	Automotive gasoline tanks, pipes, bottles & containers.
Polypropylene	350	The automotive industry, electric appliances, water pipe fibres
Low Density Polyethylene	300	Manufacturing various containers, bottles, tubing, and plastic parts for computer components
Polycarbonate	260	Construction & Housing, Automotive, Aircraft, Electronic components, Lenses, Medical appliances.
Specialized		
Cumene	290	Feedstock to Phenol plant.
Bisphenol A	240	Polycarbonate, Epoxy resins (adhesives, flexible packaging, laminates etc.).
Phenol	220	Feedstock to Bisphenol-A plant.
Acetone	135	Solvents, BPA manufacturing, Methyl Methacrylate manufacturing.
Natural Detergent Alcohol	50	Detergent.
Ethoxylates	40	Detergent, paint, leather industry.
Monoethanolamine	34	Gas sweetening, detergents, cleaning formulations, concrete mixtures, pharmaceuticals etc.
Diethanolamine	34	Metalworking fluids for cutting, stamping and die-casting operations as a corrosion inhibitor
Triethanolamine	32	Used in making surfactants, such as for emulsifier

Source: Company Website

Key points

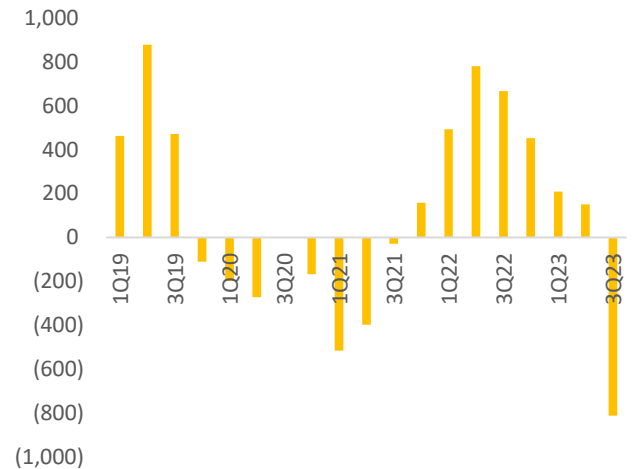
- Based on our understanding, the top 2 products which together contribute 50% of the topline are Ethylene Glycol and Polycarbonate.
- Despite the diversified nature of revenues, historically the company's share price has been correlated with Polycarbonate prices

Figure 37: PolyCarbonate prices vs Kayan share price



Source: Bloomberg

Figure 38: Volatility in Kayan's profits

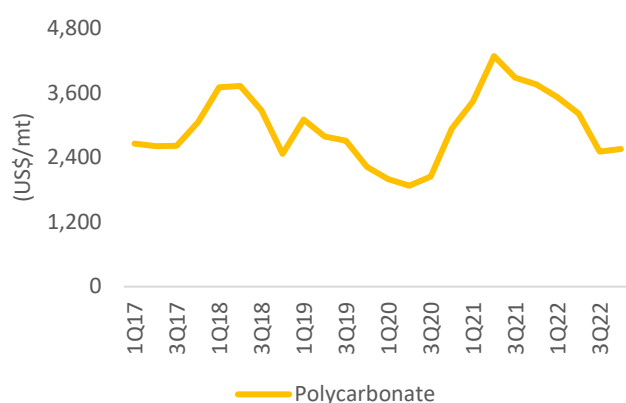


Source: Company Data

- The company is sensitive to Butane prices which is the key feedstock. Despite having a mix of feedstock in diversified volume proportions, Butane (in absolute cost terms) contributes to more than 90% of the total cost of goods sold, based on our analysis.
- The company has a high depreciation cost which makes the operating leverage high. Thus, the company's profits have been quite sensitive to spreads.
- As the depreciation is much higher than maintenance capex, the total asset value has been declining from SAR41bn at end of 2016 to currently SAR30.5bn.
- The company prioritizes debt payment and does not pay dividends which we expect to continue at least for next 2 years.
- The company is 35% owned by SABIC and is also the company's off-taker for products.
- Based on our estimates, the Utilization rate for the company's plants has averaged around 95%.
- The Ministry of Energy has increased the allocation of Ethane to Kayan. This move aims to reduce dependence on butane and enhance the company's ability to address market volatility and maintain profitability. The details are not fully provided. Based on our understanding, the additional Ethane allocation of 30mmstd is equal to 12%

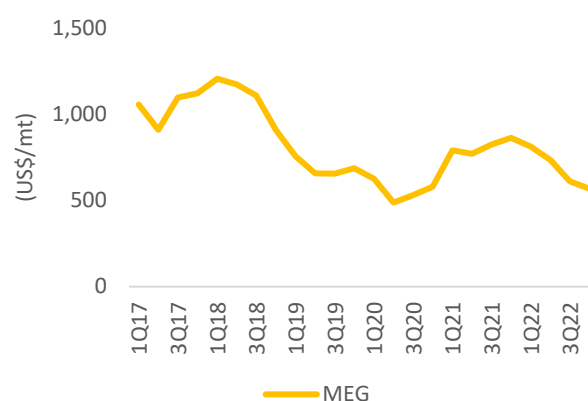
of its Butane requirement. This could be material for the company irrespective of whether the company uses this Ethane to substitute part of Butane feedstock or to add production capacity. In any case, we believe the implementation can take time. Based on our understanding, plants with propane/ethane feedstock have much higher margins and thus based on our study, the company could improve margins by 3%.

Figure 39: Polycarbonate price



Source: GIB Capital

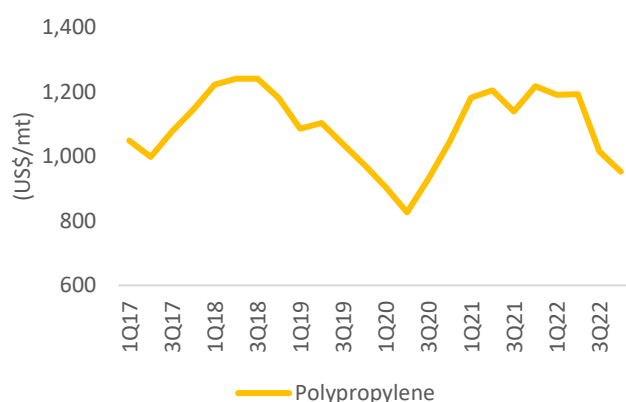
Figure 40: MEG price



Source: GIB Capital

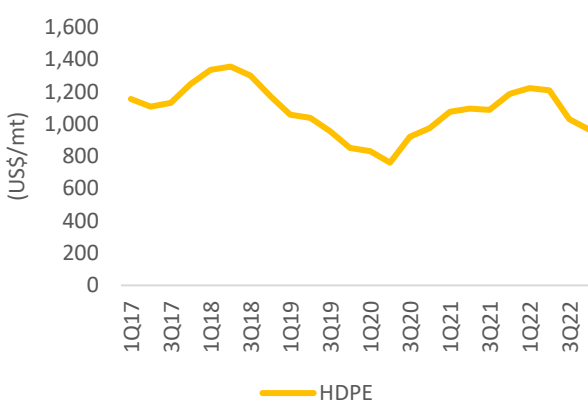
The pricing for most petrochemical products globally has been on the decline due to muted global economic growth. Inflationary pressure and a high-interest rate environment have further impacted the demand resulting in lower prices. China's zero COVID policy, the Russia-Ukraine conflict and supply chain disruptions have also contributed to the weakness in demand. However, the potential easing of lockdowns in China and the positive signs from the automotive industry could support the price recovery. The long-term outlook for the industry remains favorable though.

Figure 41: Polypropylene price



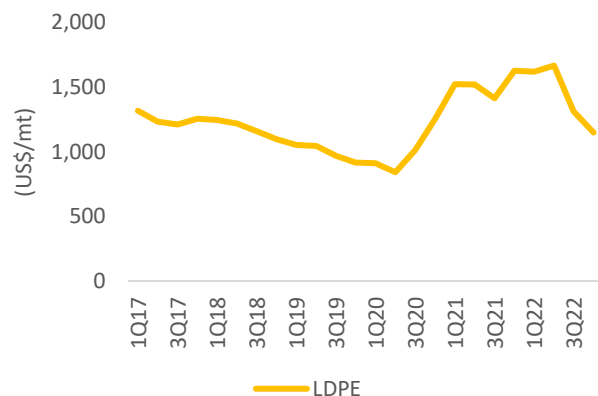
Source: GIB Capital

Figure 42: HDPE price



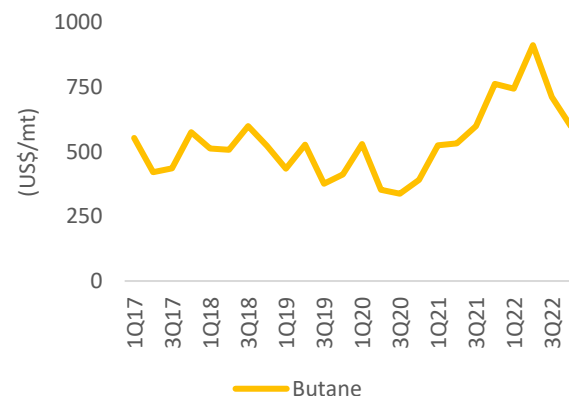
Source: GIB Capital

Figure 43: LDPE price



Source: GIB Capital

Figure 44: Butane price

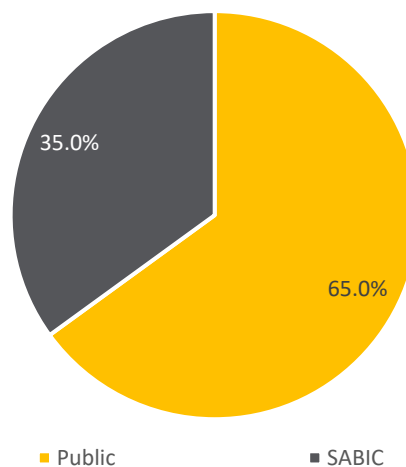


Source: GIB Capital

Ownership

The major shareholder of Saudi Kayan is SABIC, which holds 35% of the group's shares; the rest is public holding. SABIC as a major shareholder has served Kayan well as the latter uses SABIC's distribution channels for selling its products.

Figure 45: Current ownership



Source: Bloomberg

Summary of Financials

Figure 46: Summarized basic financial statements (SAR mn)

Income statement	2020a	2021a	2022e	2023e	2024e
Revenue	8,007	12,656	11,549	10,623	11,427
revenue y/y	-16%	58%	-9%	-8%	8%
COGS	(7,590)	(9,120)	(11,109)	(9,582)	(9,241)
Gross Profit	418	3,536	440	1,041	2,186
Gross Profit margin	5%	28%	4%	10%	19%
Operating expenses	(610)	(729)	(693)	(652)	(708)
Operating profit	(193)	2,808	(252)	389	1,478
Operating margin	-2%	22%	-2%	4%	13%
Finance costs	(453)	(275)	(373)	(458)	(372)
Net income	(785)	2,394	(716)	(132)	992
Net margin	-10%	19%	-6%	-1%	9%
y/y	23%	-405%	-130%	-81%	-850%
EPS	(0.5)	1.6	(0.5)	(0.1)	0.7
DPS	0.0	0.0	0.0	0.0	0.0
Payout	0%	0%	0%	0%	0%
EBITDA	2,174	5,229	2,175	2,715	3,602
Net debt	15,827	12,459	9,811	8,518	5,925

Balance Sheet	2020a	2021a	2022e	2023e	2024e
Inventories	1,306	1,758	1,388	1,704	1,833
Trade Receivables	2,644	3,840	2,847	3,495	3,759
Prepayments and Other Current Assets	96	95	66	81	81
Cash and Equivalents	586	919	1,787	1,080	1,673
Total Current Assets	5,483	6,944	6,413	6,685	7,672
Intangible Assets	285	249	204	166	134
Property, Plant & Equipment	27,238	25,301	23,219	21,304	19,549
Total Non-Current Assets	28,022	25,910	23,744	21,730	19,896
Total Assets	33,505	32,854	30,158	28,416	27,568
Current Liabilities	3,347	3,941	5,087	5,477	5,637
Non-current Liabilities	16,150	12,442	9,002	7,002	5,002
Equity	14,009	16,471	16,069	15,936	16,929
Total Equity and Liabilities	47,514	49,326	46,226	44,352	44,496
BVPS	9.3	11.0	10.7	10.6	11.3

Cashflow	2020a	2021a	2022e	2023e	2024e
Cashflow from Operations	1,787	3,818	3,070	1,609	2,886
Cashflow from Investing	-536	198	-241	-315	-293
Cashflow from Financing	-1,599	-3,683	-1,961	-2,000	-2,000
Total Cashflows	-348	333	868	-707	593

Source: Company, GIB Capital

Figure 47: Key ratios

Key ratios	2020a	2021a	2022e	2023e	2024e
Profitability ratios					
RoA	-2%	7%	-2%	0%	4%
RoE	-6%	15%	-4%	-1%	6%
RoIC	-1%	9%	-1%	3%	5%
Sales/Assets	24%	39%	38%	37%	41%
Net margin	-9.8%	18.9%	-6.2%	-1.2%	8.7%
Liquidity ratios					
Current Assets/ Current Liabilities	1.6	1.8	1.3	1.2	1.4
Debt to Total Equity	122%	81%	72%	60%	45%
Receivable Days	121	111	90	120	120
Inventory Days	-63	-70	-46	-65	-72
Payable days	-34	-34	-24	-34	-37
Debt ratios					
Net Debt/EBITDA	7.3	2.4	4.5	3.1	1.6
Debt/Assets	0.5	0.4	0.4	0.3	0.3
Valuation ratios					
P/E	-25.8	8.4	-28.3	-152.7	20.4
P/B	1.4	1.2	1.3	1.3	1.2
EV/EBITDA	14.1	5.8	14.1	11.3	8.5
FCF yield	8.5%	18.8%	14.4%	8.7%	14.8%
Div. Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company, GIB Capital

Advanced Petrochemical Company

(APPC AB Equity)

Target Price: SAR54/share
Current Price: SAR48/share
Upside: 13% (+Div. Yield: 4.2%)
Rating: Overweight

Stock data

TASI Ticker	2330
Mkt cap (SARmn)	12,467
Trd. Val 3m (SARmn)	19.0
Free float	88.2%
QFI holding	11.89
TASI FF weight	0.63%

Source: Bloomberg

Prices indexed to 100



Source: Bloomberg

Key investment themes

- **Expansion plans.** Currently, the plant has an annual production of PP of ~600k tonnes. Post-commissioning of the newer plants that are to come in from 2025/2026, the capacity could increase to 2.5x the current capacity.
- **Valuing existing project:** Based on our valuation model as detailed in the valuation section, the company is likely trading without factoring the new projects because of weaker market sentiments. The stock is trading at ~SAR47/share as compared to its peak of ~SAR75/share in early 2022.
- **Solid operational track record:** The plants have one of the best track records in the Saudi Petchem space with less frequent shutdowns than most of the other firms in KSA. The last time the utilization rate dipped below 100% was back in early 2018 as per our estimates. The firm generally has reported an average operating rate of 110%+.
- **Premium prices:** Efficient off-taker relationship has enabled the company to sell to regions that give premium prices consistently.
- **Superior metrics:** Related to the above point, the company's technology (different from Alujain's despite manufacturing the same Polypropylene), operational efficiency, and management ensure they have better margins and stable profitability metrics as compared to peers.
- **Consistent dividend payments:** So far, the company has managed to pay consistent and rising dividends which makes it a key attraction for investors.

Risk factors to consider

- **Dividend risk:** With current spreads, there is a possibility for a reduction in dividends as debt and rates have increased. Already we note that the payout is above 100% in the past 2 years.
- **Expansion risks:** Delay in execution, and cost overruns of the new project are major risk factors.
- **High benchmark set:** Additionally, there is a risk for the newer plants not to match the current plant's efficiencies given the high bar set by the current plant. While we factor a lower net income per ton (85% of older plant for the newer plant), it could be even lower. Notably, the results of its Korean investment have not been as attractive as the Saudi plant.
- **Others:** Investment bets taken such as the one in Tasnee may not pay off as expected or may weight on sentiments of investors looking for APPC as a pure PP-P play.

Valuation

To value the new plants, we use a DCF standalone model with commissioning from 2026 and only at 85% of average EBITDA/tonne for the existing plant and arrive at a value of SAR15/share. The implied IRR based on our DCF is only 11%. The other view is to see the average share price of APPC over the years before the announcement and replicate the equity value on a per-tonne basis adjusting for time value and again adjusting for lower margins. The average share price of

APPC before the announcement of projects was around SAR40/share. Taking 85% of this value and post-factoring for the time value of 3-4 years, we arrive at SAR20/share for the new project. Thus, the value of the new projects is SAR15-20/share based on our analysis.

We value the company based on an equal blend of EV/EBITDA and DCF valuation. We use an EV/EBITDA of 13x (3-year average EV/EBITDA has been 15x) to arrive at a multiple based 12 month forward valuation of SAR38/share. For DCF we use a WACC of 9.1% and cost of equity of 10.5% and arrive at a 12-month forward DCF value of SAR34/share. We add SAR17.5/share for the new plant. Our combined target price of SAR54/share has an implied dividend yield of 4.2% and 5.2% for 2023 and 2024. Given the ~13% upside, we initiate coverage with an Overweight rating.

Traditionally the companies in the sector are valued based on dividend yield. If we were to factor only the current plant, the current dividend yield would be 5.2%.

Figure 48: DCF valuation model

SARmn	2022e	2023e	2024e	2025e	2026e	2027e	2028e	2029e	2030e
EBIT	391	450	654	641	639	637	642	640	639
Tax	-22	-29	-45	-45	-46	-46	-47	-47	-47
EBIT after taxes	369	421	608	596	593	591	595	593	591
Dep+Amor	215	222	224	219	221	223	217	219	221
Change in WC	43	-52	17	-6	3	0	0	0	0
Capex	-1,396	-67	-65	-64	-64	-64	-64	-64	-64
FCF	-770	524	784	744	754	750	749	749	748
Terminal value									10,808
Enterprise value of explicit period	3,953								
PV of terminal FCF	5,385								
EV	9,338								
Net debt	-1,801								
Associates & investment	999								
Non-operating liabilities	-308								
Minority	-327								
Total Market Value	7,901								
No of shares	260								
Equity value per share	30								
Adj. DCF- eq. value per share	34								
Cost of Equity	10.5%								
Cost of Debt	3.5%								
Long term Weight of Debt	20.0%								
Long term Weight of Equity	80.0%								
WACC	9.1%								

Source: GIB Capital

Company Profile

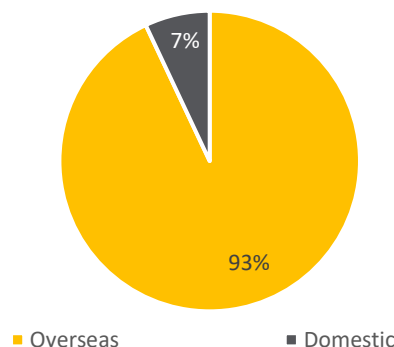
Advanced Petrochemical Company ("Advanced") was founded in 2005 and listed on Tadawul in 2007. The company was initially launched by National Polypropylene Limited, jointly owned by Khalifa Al Mulhim, now the Chairman of the company.

The company manufactures petrochemicals, including propylene (455,000 tons/year) which is used in turn to manufacture polypropylene (450,000 tons/year of name plate capacity) though the actual production is much higher. The company has its production facility in Jubail Industrial City. It started the construction of its plants in May 2005 and commenced commercial production in March 2008.

The company has a presence across MENA, Europe, India, Asia Pacific, Turkey, and China. It markets and sells its products through international off-takers like Vinmar International, Mitsubishi Corporation, and Domo N.V. Most revenues come from overseas sales representing ~93% of total revenues.

The company is known for actively shifting sales of its products towards markets that have better pricing or are in demand. For example, the company increased its sales exposure towards Turkey up from 15% in 2015 to ~30% in 2019 as pricing improved. Accordingly, the company was involved in making material (woven PP) required for masks during COVID. The company's solid management is widely acknowledged as the best in the sector in KSA.

Figure 49: Geographic mix of revenue (3Q22)



Source: Company

Total production of Polypropylene (PP) was ~600k tpa in 2021. The majority of PP is manufactured from Propylene it produces using the Propane it procures from Aramco at discounted prices.

The company uses the PDH-Catfin Technology, licensed by Lummus, for producing propylene, and it uses the Novolen Technology for making polypropylene. From the numbers we see that, the technology has helped the company achieve superior margins than most other Petrochemical manufacturers in KSA.

Rest of the propylene is outsourced from SATORP. The Group had earlier signed a five year agreement for the purchase of 80k mt/a of propylene which has gradually increased now to

120k mt/a from the start of 2022 to end of 2025. The margin for this PP manufactured from Propylene is lower than the Polypropylene it manufactures by using Propane.

As for spreads, the product prices are the netbacks it receives from the off-takers after all expenses while with regards to the cost of feedstock, Saudi Aramco announces prices for propane each month. Propane price is based on a free-on-board (FOB) basis from the Port of Ras Tanura. There is a month's delay in accounting for costs by the companies— which means prices as of December, January and February are used for calculating feedstock cost in Q1.

On-stream utilizations for the PDH and PP plants have always been consistently around 110%+ and 135%+. This implies that the company has always produced much above its name plate capacity. Its efficient production also has been a contributing factor for the company to have much better margins than most of its petrochemical peers

The company is currently holding around ~40mn shares or 6% shares of TASNEE which is today around SAR528mn (acquisition cost of SAR471mn). The company said that this is a strategic investment, and it doesn't have any plan to increase its stake.

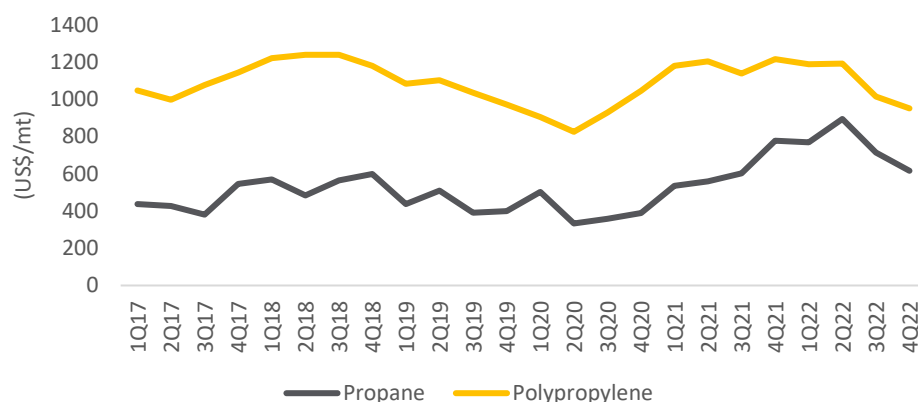
The company has a long history of stable and improving dividends – most notably one of the few companies that pay quarterly dividends. However, the annual payout ratio has increased above 100% in the last 2 years.

The Group also has an investment in SK Advanced Co. Limited classified as investment in an associate in its financial statements. The ownership of the Company is divided between AGIC (Advanced's subsidiary) with 30%, SK Gas Co. Limited with 45% and Petrochemical Industries Company K.S.C with 25%. SK Advanced operates a PDH Plant with nameplate capacity of 600,000 MT per annum. The project started operations in April 2016. SK Advanced in turn has an investment in Ulsan PP which is 49.99% owned by it. Ulsan PP commenced operations in May 2021 and is supplied with Propylene (feedstock) from SK Advanced on a long-term basis.

The key share price indicator to note for the company is the spread between Polypropylene and Propane prices.

Polypropylene's supply and demand situation has been weak in the global market. The pricing has been impacted due to the slowdown in global economic growth. Global tension due to the ongoing Russia-Ukraine conflict, China's stringent COVID policy, and supply chain disruptions have put prices and demand under pressure. Nonetheless, improvement in demand from the automotive industry and the potential easing of lockdowns in China are likely to support the price recovery. The long-term outlook for the industry remains favourable.

Figure 50: Propane and Polypropylene price



Source: GIB Capital

Expansion Plans

Advanced Global Investment Company (AGIC), the wholly-owned subsidiary of Advanced, and S.K. Gas Petrochemical Pte. Ltd. (SKGP), a subsidiary of S.K. Gas Co., Ltd. incorporated Advanced Polyolefins Industry Company (APOC) to construct and operate a Propane Dehydrogenation; Polypropylene & Isopropanol (PDH-PP-IPA) project in Jubail – 2. The project is owned 85% by Advanced.

The propylene plant will produce 843,000 tons/year of propylene with all required off-sites and utilities using CATOFIN technology from Lummus Technology LLC, U.S. The polypropylene plants will have a capacity of 800,000 tons/year and will use Spheripol and Spherizone technologies by Basell Poliolefine Italia S.r.l, Italy. Also, it will add one more product, Isopropanol, to the company's product offerings. With a nameplate capacity of 70,000 tons/year, the Isopropanol plant will process propylene and produce isopropanol.

The new project is expected to increase the company's polypropylene capacity to 1,130,000 tons/year (after adjusting for Advanced's stake).

The new project is expected to cost USD1.9bn and come on stream by 2H24. The project is financed 25% by the shareholders of APOC, and the remaining will be financed through borrowings.

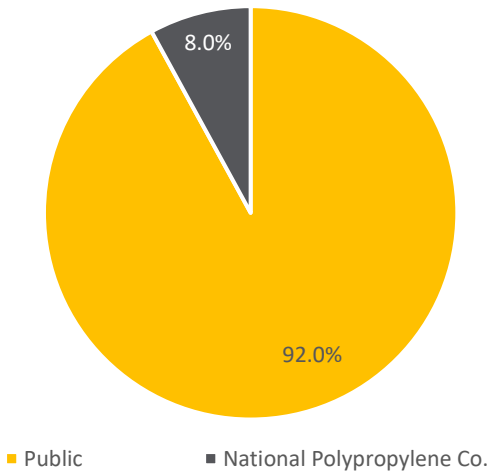
This Project is expected to produce value-added PP grades to manufacture PP compounds for the automotive industry as well as other specialized grades that are currently being imported into the Kingdom of Saudi Arabia.

Funding for the project has increased the debt significantly. However, part of this has likely lower interest costs because SAR3bn was obtained from SIDF. EPC was awarded in April 2021, and we believe the project is likely to be around ~50% completed.

Ownership

The major shareholder of Advanced is National Polypropylene Co. which owns 8%. QFI holding currently is 11.9%.

Figure 51: Current ownership



Source: Bloomberg

Summary of Financials

Figure 52: Summarized basic financial statements (SAR mn)

Income statement	2020a	2021a	2022e	2023e	2024e
Revenue	2,231	3,111	2,933	2,678	2,834
revenue y/y	-14%	39%	-6%	-9%	6%
COGS	1,502	2,052	2,364	2,067	2,011
Gross Profit	729	1,059	570	611	824
Gross Profit margin	33%	34%	19%	23%	29%
Operating expenses	137	194	179	161	170
Operating profit	592	865	391	450	654
Operating margin	27%	28%	13%	17%	23%
Finance costs	6	16	27	58	58
Net income	596	815	309	401	633
Net margin	27%	26%	11%	15%	22%
y/y	-22%	37%	-62%	30%	58%
EPS	2.8	3.8	1.4	1.9	2.9
DPS	2.6	2.6	2.6	2.00	2.5
Payout	94%	69%	182%	108%	85%
EBITDA	809	1,087	606	671	877
Net debt	(49)	820	1,991	2,016	2,100

Balance Sheet	2020a	2021a	2022e	2023e	2024e
Inventories	175	202	133	157	145
Trade Receivables	328	435	286	339	378
Prepayments and Other Current Assets	89	104	81	78	82
Cash and Equivalents	62	243	327	303	218
Total Current Assets	653	1,056	827	877	823
Intangible Assets	0	0	0	0	0
Property, Plant & Equipment	1,756	2,985	4,215	4,061	3,902
Total Non-Current Assets	3,305	4,835	5,622	5,493	5,686
Total Assets	3,959	5,891	6,449	6,370	6,509
Current Liabilities	397	1,603	1,962	1,985	2,032
Non-current Liabilities	12	174	867	867	867
Equity	3,419	3,956	3,519	3,290	3,386
Total Equity and Liabilities	3,959	5,891	6,562	6,370	6,509
BVPS	18.3	27.2	30.3	29.4	30.1

Cashflow	2020a	2021a	2022e	2023e	2024e
Cashflow from Operations	758	1,058	587	562	803
Cashflow from Investing	-179	-1,181	-1,107	-67	-346
Cashflow from Financing	-565	303	604	-520	-541
Total Cashflows	14	181	84	-25	-84

Source: Company, GIB Capital

Figure 53: Key ratios

Key ratios	2020a	2021a	2022e	2023e	2024e
Profitability ratios					
RoA	15%	14%	5%	6%	10%
RoE	17%	21%	9%	12%	19%
RoIC	17%	17%	7%	8%	11%
Sales/Assets	56%	53%	45%	42%	44%
Net margin	27%	26%	11%	15%	22%
Liquidity ratios					
Current Assets/ Current Liabilities	1.6	0.7	0.4	0.4	0.4
Debt to Total Equity	0%	27%	66%	70%	68%
Receivable Days	54	51	36	46	49
Inventory Days	42	36	21	28	26
Payable days	35	34	19	26	35
Debt ratios					
Net Debt/EBITDA	-0.1	0.8	3.3	3.0	2.4
Debt/Assets	0.0	0.2	0.4	0.4	0.4
Valuation ratios					
P/E	17.4	12.7	33.6	25.9	16.4
P/B	2.6	1.8	1.6	1.6	1.6
EV/EBITDA	17.9	13.3	23.9	21.6	16.5
Div. yield	5.4%	5.4%	5.4%	4.2%	5.2%

Source: Company, GIB Capital

Sahara International Petrochemical (SIPCHEM AB Equity)

Target Price: SAR47/share
Current Price: SAR38/share
Upside: 23% (+Div. Yield: 7.2%)
Rating: Overweight

Stock data

TASI Ticker	2310
Mkt cap (SARmn)	28,013
Trd. Val 3m (SARmn)	79.1
Free float	89.0%
QFI holding	15.79
TASI FF weight	1.42%

Source: Bloomberg

Prices indexed to 100



Source: Bloomberg

Key investment themes

- **Methanol fundamentals look healthy:** Methanol is one of the only few products where demand is expected to exceed supply in the near term. Also, Methanex the industry leader has kept Methanol prices unchanged at US\$410/mt for the fifth month in a row.
- **Feedstock allocation:** Sipchem is in advanced stages of talks with Ministry of Energy additional feedstock allocation that could help expand the capacity especially for VAM though it could take time.
- **Debottlenecking project:** Post the implementation of a planned debottlenecking project for three of its plants, their capacity could increase by 25%. It would incur capex (altogether around SAR1.5bn as per our estimate) but more details are awaited on the same.
- **Diversified product mix:** With regards to product mix contribution, in the past Methanol had been the key contributor to profits but since 2021/22 given the rally in specialty chemicals such as VAM/EVA/BDO, the mix is now diversified. Now even after the recent drop in prices, the order of contribution is likely to be EVA, Methanol and VAM/Acetyls as per our understanding, highlighting the diversification.
- **High operating leverage:** The company also uses Methane, Ethane, Butane, and buys Ethylene (to produce vinyl acetate monomer). However, the main feedstock cost is fixed with Methane at US\$1.25/mmbtu and thus there is disproportionally high operating leverage which works in both ways. However, considering the recent decline in product prices, the cyclicity could work in favour of Sipchem once Chinese economy rebounds.
- **Dividends:** While dividends could decline, the company could pay dividends of SAR2.75/share in 2023 with current spreads – implying 7.2% dividend yield. We believe that the company may continue to have reasonable debt on its books which unlocks value by decreasing the company's WACC unlike some firms which prefer to be debt free.
- **Quality Management:** Management is active and efficient. For example, the company saved on interest costs by hedging interest rates at fixed levels at around 3% and is focused on selling products in regions with higher netbacks. The company also managed to obtain better than originally expected synergies from its merger with Sahara (SAR). The company also shut down two unprofitable plants highlighting efficient use of capital.

Risk factors to consider

- **Weak 4Q22:** Market is expecting a weak 4Q22 which may dampen near-term sentiments for the stock.
- **Doubled edged operating leverage:** The high operating leverage acts in both ways and hence further weakness in key product prices may lead to disproportionally weaker profits.
- **Shutdowns:** The waterfall model of production (that is the output of one plant feeds as input into another plant) makes it difficult to forecast earnings with accuracy given the complexity in accounting. Additionally, a shutdown at its first-stage plant may weaken production at all its other plants. The last time IMC had a shutdown was in 2018.

Valuation

We value the company based on an equal blend of EV/EBITDA and DCF valuation. We use a EV/EBITDA of 9x (3 year average EV/EBITDA has been 9x) to arrive at a multiple based 12 month forward valuation of SAR46/share. For DCF we use a WACC of 10.3% and cost of equity of 11.3% and arrive at a 12 month forward DCF target of SAR49/share. Our target price of SAR47/share has an implied dividend yield of 7.2% (2023) and 7.9% (2024). Given the 23% upside, we initiate coverage with an Overweight rating. Also notably, the company had bought shares from the market (1.1mn), at a total value of SAR53.53mn, an average price of SAR48.52/share in 2022.

Figure 54: DCF valuation model

SARmn	2022e	2023e	2024e	2025e	2026e	2027e	2028e	2029e	2030e
Pre-tax operating profit	3,879	2,935	2,968	2,930	2,915	2,904	2,833	2,760	2,684
Tax rate	-430	-353	-369	-365	-364	-363	-356	-348	-340
Post-tax operating profit	3,449	2,582	2,600	2,565	2,550	2,541	2,478	2,412	2,344
Add: Depreciation & amortisation	940	966	987	964	942	922	904	887	872
Change in working capital	887	-217	388	4	-3	-5	-3	-3	-3
Less: Capex	-664	-879	-699	-698	-699	-701	-702	-703	-604
Free Cash Flow to Firm	4,611	2,453	3,276	2,834	2,790	2,756	2,676	2,593	2,610
Terminal value									32,614
Enterprise value of explicit period	14,594								
PV of terminal FCF	14,908								
EV	29,502								
Value of associates and non-core assets	4,502								
Others	-1,285								
Net debt	128								
Minorities	-1,107								
Total Market Value	31,741								
Number of shares ('000)	725								
Equity value per share	44								
Adj. DCF- eq. value per share	49								
Cost of Equity	11.3%								
Cost of Debt	4.5%								
Long term Weight of Debt	15.0%								
Long term Weight of Equity	85.0%								
WACC	10.3%								

Target EV/EBITDA	9x
2024E EBITDA	3,956
EV/EBITDA based price	46

Source: GIB Capital

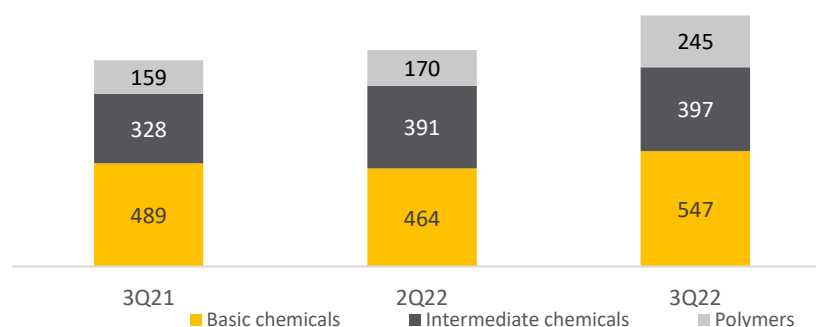
Company profile

Sahara International Petrochemical Company (Sipchem), established in 1999, is one of the leading petrochemical companies in the world. The company is listed on Tadawul and included in the MSCI Emerging Markets Index. It is the second largest petrochemical player in Saudi after SABIC by market capitalization.

The company owns and manages a petrochemicals complex at Jubail Industrial City. The complex is strategically located in the eastern region due to the availability of raw materials and required petrochemical products in the region. The complex has proximity to the King Fahd Industrial Port and the Jubail Commercial Port, which proves to be beneficial for exports.

The company has a diversified product portfolio. It produces a wide range of products, from basic chemicals and polymers to specialty chemicals. It manufactures and markets methanol (MeOH), butanediol (BDO), tetra hydro furan, acetic acid (AA), maleic anhydride, and vinyl acetate monomer (VAM), as well as carbon monoxide through its various subsidiaries, among others. This is different from most of the other companies in KSA that make basic polymers as seen from the Figure below.

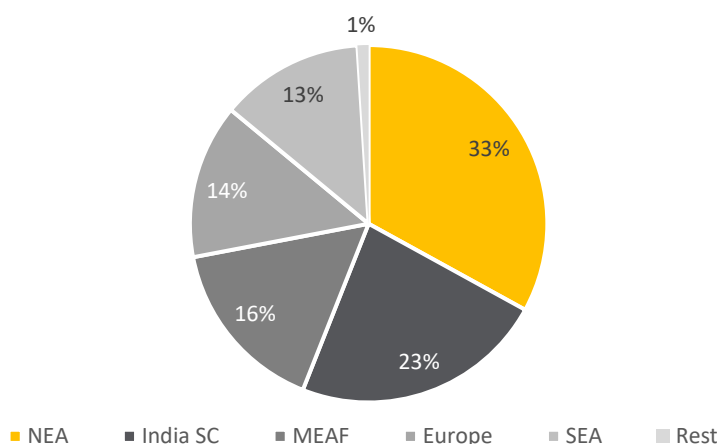
Figure 55: Segment-wise sales volumes



Source: Company Presentation

Note: Basic chemicals: Methanol, Butanediol and Carbon Monoxide; Intermediate chemicals: Acetic Acid, Vinyl Acetate Monomer, Ethyl Acetate Caustic Soda and Ethylene di-chloride; Polymers: Polypropylene and Ethylene Vinyl Acetate

Figure 56: Geographic mix of sales volume (3Q22)



Source: Company Presentation

In 2019, the company fully acquired Sahara Petrochemical Co. Sahara produces a wide range of petrochemicals, including propylene, polypropylene (PP), ethylene, and LLDPE.

While there are multiple subsidiaries and products sold by the company, the main 4 profit generating products in our view were VAM, EVA, BDO and Methanol at the end of 2021. With the sharp fall in VAM, the order has slightly changed with EVA on top followed by Methanol.

Figure 57: List of subsidiaries

Company	Product	Ownership
Sahara Petrochemicals Company	Petrochemical & Chemical Industries, Basic and Intermediate	100%
International Methanol Company	Production of Methanol (methyl alcohol)	65%
International Diol Company	BDO, Maleic Anhydride (MAN), Tetrahydrofuran (THF) and gamma-Butyrolactone (GBL)	100%
International Acetyl Company	Production of Acetic Acid (AA) and Acetic Anhydride (AAn)	100%
International Vinyl Acetate Company	Production of Vinyl Acetate Monomer	100%
International Gases Company	Production of Carbon Monoxide and Hydrogen	100%
Sipchem Marketing Company	Marketing and sales of petrochemicals and plastics	100%
Sahara Marketing Company	Marketing and sales of petrochemicals and plastics	100%
International Utility Company	Management, operation and maintenance of utilities and facilities for Sipchem's subsidiaries	93%
International Polymers Company	Production of Ethylene Vinyl Acetate, Low Density Polyethylene	75%
Sipchem Chemical Company	Production of ethyl acetate / butyl acetate, polybutylene terephthalate and tetrahydrofuran	100%
Sipchem Europe Cooperative U.A.	Providing marketing and distribution services of petchem products of Sipchem	100%
Sipchem Europe B.V.	Providing marketing and distribution services of petchem products of Sipchem	100%
Sipchem Europe SA (Formerly Aectra SA)	Providing marketing and distribution services of petchem products of Sipchem	100%
Gulf Advance Cable Insulation Company	Cable insulation polymers products	50%
Saudi Specialized Products Company	Production of transparent films and metal molds used in plastic industries	100%
Sipchem Asia PTE Ltd.	Providing administrative support in marketing and logistics activities	100%
Saudi Advanced Technologies Company	Metal formation for motor vehicle parts and accessories	100%

Source: Company

The company reports segmental revenue in the following format:

- 1) Basic chemicals (which includes Methanol and BDO) which contributed 31% of revenues but 42% of operating profits in 2021.
- 2) Intermediate (which includes mainly VAM, Caustic Soda, EDC) contributed 44% of revenues and 36% of operating profit
- 3) Polymers (mainly EVA) contributed 33% of revenues and 18% of operating profits.
- 4) The other division called marketing mainly buys internally and sells to customers externally.

Modelling the company is complex because of the interdependence of products among the companies. For example, Methanol is sold externally as well as used to produce AA which is in turn used to produce VAM. The ownership of each plant is different adding to the complexity. Products such as BDO do not have easily available prices such as other products.

The company has been increasing its stake in the subsidiaries that would avoid minority leakage. Sipchem has increased its stake in IDC (to 100% from 54%), enabling it to take strategic initiatives in the subsidiaries. The company acquired the remaining 3% stakes in International Acetyl Company Limited and International Vinyl Acetate Company, increasing its ownership in both firms to 100%. Current ownerships are shown in the Figure above.

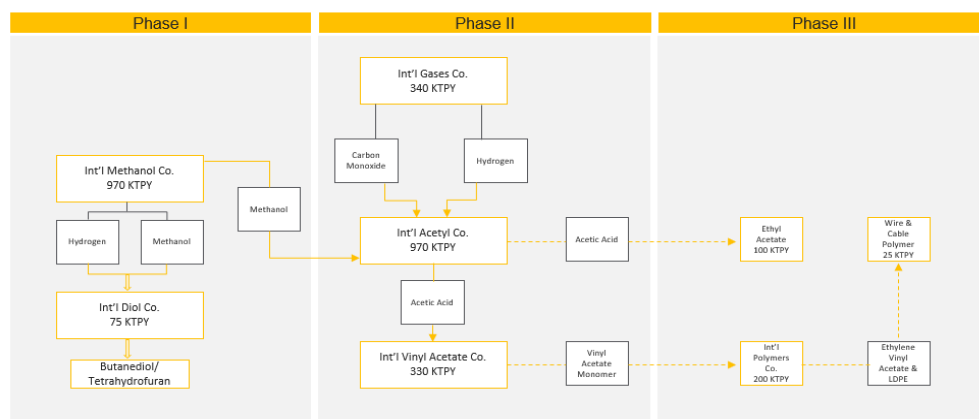
Growth plans

- Through continuous growth, aiming to achieve and maximize positive results
- Work towards developing and exploring new investment opportunities
- Project development opportunities consist of new acquisitions and mergers inside or outside the country to enhance the group's profitability and enable it to enter new global markets
- Develop and explore opportunities to build new factories. Also, expand the existing factories to increase the production capacity in line with the increasing global demand

Strategy

- The company updated its strategy for the next ten years
- The new strategy is based on five main pillars (growth, profitability, sustainability, digital transformation and innovation, and human resources)

Figure 58: Overview of the integrated operations of the company for representative purposes



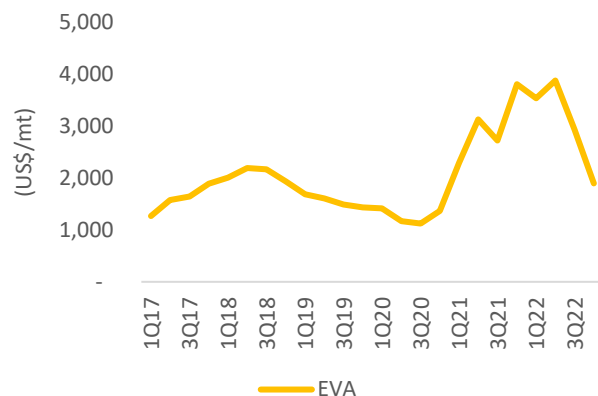
Source: Company Website

As discussed above, Methanol (MeOH) is primarily converted to formaldehyde, which has many applications, especially in polymers. Acetic acid (AA) can be produced from methanol. MeOH combined with isobutene makes MTBE a major octane booster in gasoline (petrol). It can also be used as a clean energy source.

Ethyl Acetate (EA) is used in nail varnish removers to clean circuit boards, decaffeinated coffee beans and tea leaves, paints and perfumes, among other applications. Butanediol (BDO) industrial use is a solvent in manufacturing certain plastics, elastic fibres, and polyurethanes. AA is used to manufacture paints, adhesives, inks, coatings etc. Ethylene-vinyl acetate (EVA) is used to manufacture car mats, artificial flowers, surfboards, plastic films etc. Sodium hydroxide (NaOH), called caustic soda, can make soaps, rayons, paper, explosives, dyes, and petroleum products. Vinyl Acetate Monomer (VAM) is a significant intermediate used in producing a wide range of resins and polymers for paints & coatings, adhesives, glues & sealants, elastomers, textile finishes, paper coatings, binders, films, and a myriad of other industrial and consumer applications. Polypropylene (PP) is used in plastic packaging, plastic parts for machinery and equipment, fibres and textiles, electrical insulation, food containers, carpets, ropes, etc.

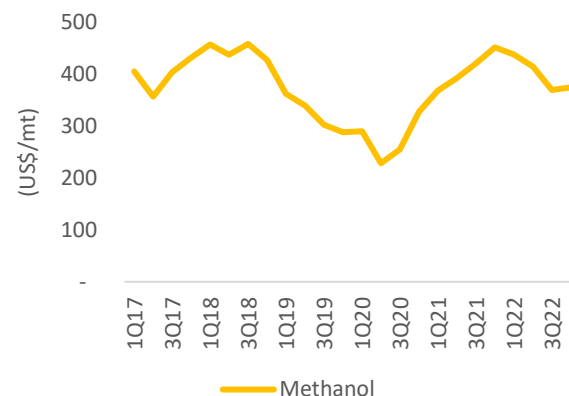
The pricing for all products has witnessed a gradual decline in 2022-YTD due to the slowdown in global economic growth. China's zero COVID policy, Russia-Ukraine conflict, and supply chain disruptions have contributed to the weakness in demand and consequently led to downward pressure on the prices. The rising inflation across the globe attracted aggressive monetary policy tightening from major central banks, which has fueled concerns about a recession in the near to medium term. However, the potential easing of lockdowns in China and the positive signs from the automotive industry could support the price recovery. The long-term outlook for the industry remains favorable.

Figure 59: EVA price



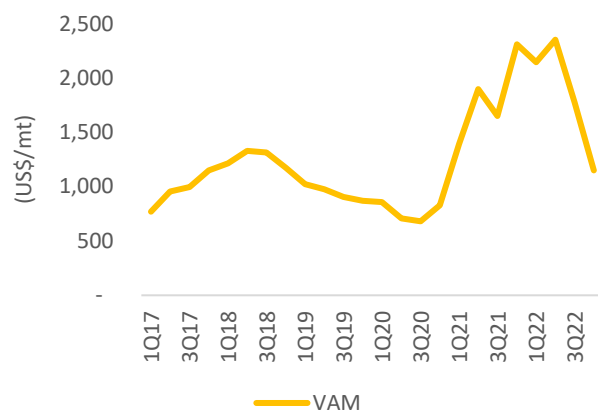
Source: GIB Capital

Figure 60: Methanol price



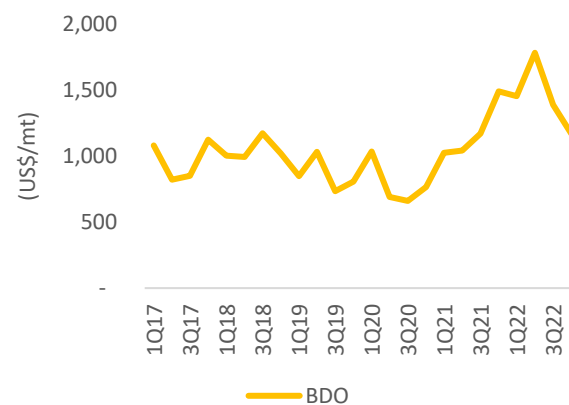
Source: GIB Capital

Figure 61: VAM price



Source: GIB Capital

Figure 62: BDO price

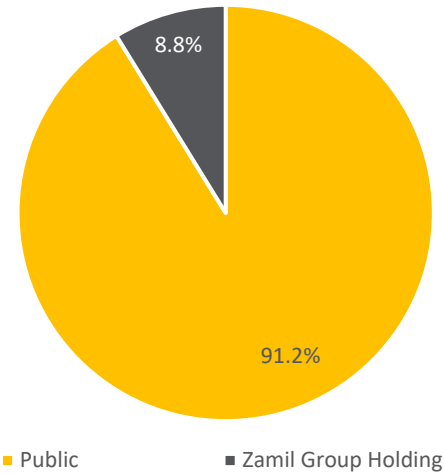


Source: GIB Capital

Ownership

The major shareholder of Sipchem is Zamil Group which owns 8.8%. Zamil Group, through its subsidiaries, is engaged in providing products and services and investment opportunities for investors in the industrial, petrochemicals, trade and services, and real estate sectors. QFI holding currently is 15.8%.

Figure 63: Current ownership



Source: Bloomberg

Summary of Financials

Figure 64: Summarized basic financial statements (SAR mn)

Income statement	2020a	2021a	2022e	2023e	2024e
Revenue	5,323	9,982	10,864	9,763	9,991
revenue growth y/y	-2%	88%	9%	-10%	2%
COGS	4,150	4,402	5,682	5,656	5,824
Gross Profit	1,173	5,580	5,183	4,107	4,167
Gross Profit margin	22%	56%	48%	42%	42%
Operating expenses	813	1,115	1,304	1,172	1,199
Operating profit	360	4,464	3,879	2,935	2,968
Operating margin	7%	45%	36%	30%	30%
Finance costs	294	319	250	199	199
Net income	176	3,592	3,464	2,863	2,996
Net margin	3%	36%	32%	29%	30%
y/y	-41%	1942%	-4%	-17%	5%
EPS	0.2	4.9	4.8	3.9	4.1
DPS	0.5	2.3	3.3	2.8	3.0
Payout	208%	46%	68%	70%	73%
EBITDA	1,291	5,463	4,818	3,902	3,956
Net debt	4,658	2,829	(128)	(502)	(1,663)
Balance Sheet	2020a	2021a	2022e	2023e	2024e
Inventories	908	1,145	945	1,041	869
Trade Receivables	1,061	1,862	1,423	1,568	1,309
Prepayments and Other Current Assets	190	227	289	289	289
Cash and Equivalents	2,815	2,711	4,550	4,923	6,085
Total Current Assets	4,973	5,946	7,207	7,821	8,552
Intangible Assets	379	606	571	571	571
Property, Plant & Equipment	13,077	12,338	12,127	12,040	11,752
Total Non-Current Assets	18,792	18,559	18,526	19,097	19,582
Total Assets	23,765	24,504	25,733	26,918	28,133
Current Liabilities	3,465	2,936	2,680	2,703	2,661
Non-current Liabilities	6,464	5,873	5,198	5,245	5,257
Equity	13,836	15,696	17,855	18,969	20,215
Total Equity and Liabilities	23,765	24,504	25,733	26,918	28,133
BVPS	32.4	33.4	35.4	37.0	38.7
Cashflow	2020a	2021a	2022e	2023e	2024e
Cashflow from Operations	1,603	4,898	5,178	3,246	3,861
Cashflow from Investing	58	-260	-899	-879	-699
Cashflow from Financing	-956	-4,444	-2,823	-1,994	-2,000
Total Cashflows	706	194	1,457	374	1,162

Source: Company, GIB Capital

Figure 65: Key ratios

Key ratios	2020a	2021a	2022e	2023e	2024e
Profitability ratios					
RoA	1%	15%	13%	11%	11%
RoE	1%	23%	19%	15%	15%
RoIC	1%	19%	16%	11%	11%
Sales/Assets	22%	41%	42%	36%	36%
Net margin	3%	36%	32%	29%	30%
Liquidity ratios					
Current Assets/ Current Liabilities	1.4	2.0	2.7	2.9	3.2
Debt to Total Equity	54%	35%	25%	23%	22%
Receivable Days	73	68	48	59	48
Inventory Days	80	95	61	67	54
Payable days	20	26	15	17	13
Debt ratios					
Net Debt/EBITDA	3.6	0.5	0.0	-0.1	-0.4
Debt/Assets	31%	23%	17%	16%	16%
Valuation ratios					
P/E	159.3	7.8	8.0	9.7	9.3
P/B	1.2	1.1	1.1	1.0	1.0
EV/EBITDA	22.9	5.4	6.1	7.6	7.5
Div. yield	1.3%	5.9%	8.5%	7.2%	7.9%

Source: Company, GIB Capital

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